
MOODY'S



Investor Presentation

2Q 2016

August 4, 2016

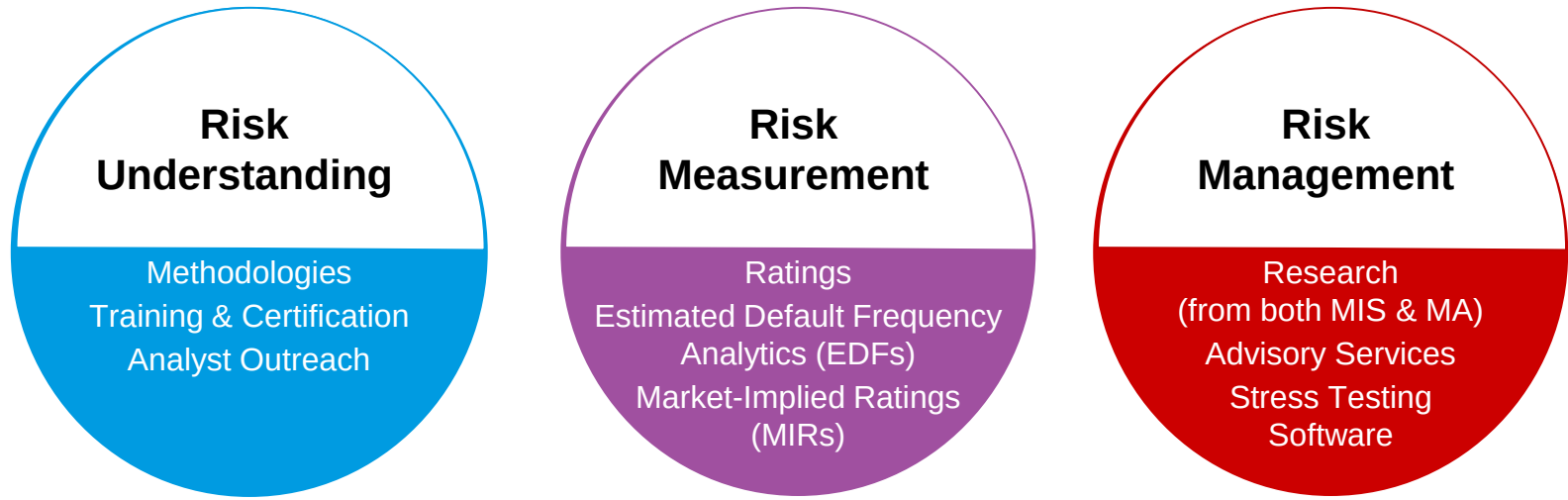
Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2016 and other forward-looking statements in this presentation are made as of July 22, 2016, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the UK's referendum vote whereby the UK citizens voted to withdraw from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the current world-wide credit market disruptions and economic slowdown; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Financial Reform Act and regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Financial Reform Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2015, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

Table of Contents

1. Financial Overview
2. Capital Markets Overview
3. Moody's Investors Service (MIS)
4. Moody's Analytics (MA)
5. Conclusion
6. Appendix

Moody's Mission: To be the World's Most Respected Authority Serving Risk-Sensitive Financial Markets



Moody's is an essential component of the global capital markets, providing credit ratings, research, tools and analysis that contribute to open and integrated financial markets

1

Financial Overview

Overview of Moody's Corporation

MOODY'S

- » Leading global provider of credit rating opinions, insight and tools for financial risk measurement and management
- » TTM 2Q16 revenue of \$3.4 billion; operating income of \$1.4 billion

MOODY'S
INVESTORS SERVICE

- » 65% of total MCO revenue
- » 83% of total MCO operating income



Independent provider of credit rating opinions and related information for over 100 years



MIS provides ratings in more than 120 countries*



Ratings relationships with ~11,000 corporate issuers, ~20,000 public finance issuers and has rated and currently monitors ~68,000 structured finance obligations*

MOODY'S
ANALYTICS

- » 35% of total MCO revenue
- » 17% of total MCO operating income



Research, data and software for financial risk analysis and related professional services



Customers in 140 countries**



4,700 institutional clients; business with 86 of top 100 global banks**

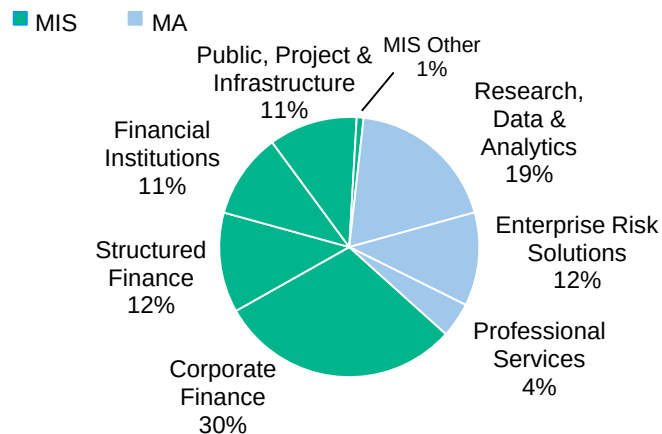
Note: All financial data is for the trailing twelve months ended June 30, 2016.

* As of December 31, 2015.

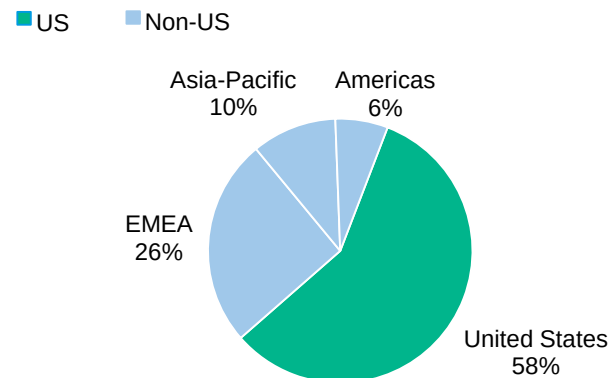
** As of March 31, 2016.

Moody's Revenue is Diversified by Business, Geography and Type

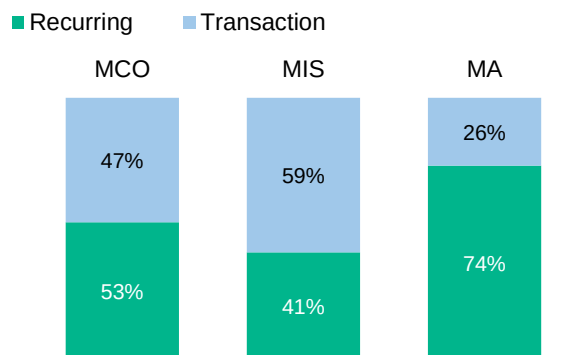
TTM 2Q16 Revenue by Business



TTM 2Q16 Revenue by Geography



TTM 2Q16 Revenue by Type



Note: All financial data is for the trailing twelve months ended June 30, 2016.

Long-term Growth Opportunities Intact Despite Near-term Macro Challenges

Debt market issuance driven by global GDP growth	Disintermediation of credit markets in both developed and emerging economies driving both issuance and demand for new products and services	Growth in Moody's Analytics driven by further penetration of MA's client base and expansion of bank and insurance risk regulatory requirements	MA and MIS pricing initiatives aligned with value; affected by business volumes and mix
~2-4%	~2-3%	~2-3%	~3-4%

Long-Term Revenue Growth Opportunity: High Single-Digit to Low Double-Digit % (on average)



Potential Selective Acquisitions*



Potential Operating Income Margin Expansion



Ongoing Share Repurchases*



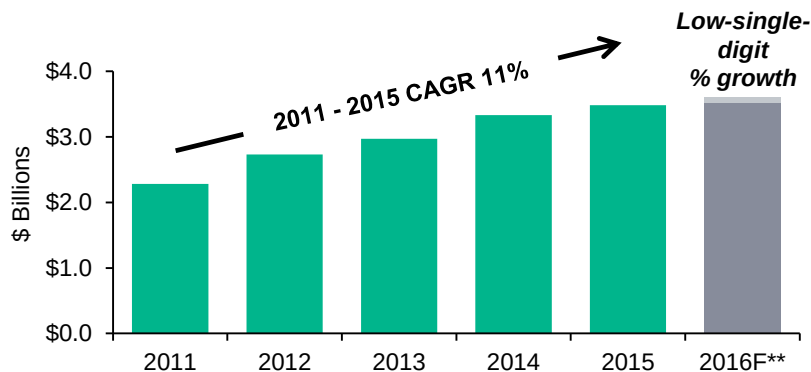
Long-Term EPS Growth Opportunity: Low-Teens to High-Teens % (on average)**

*Subject to market conditions and other ongoing capital allocation decisions.

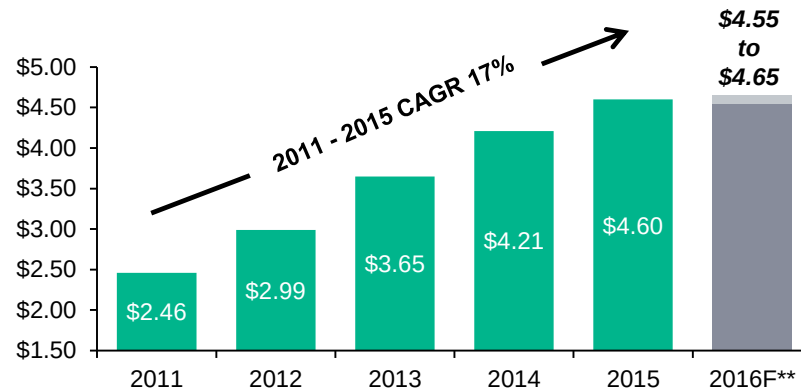
**Assumes no material change in effective tax rate, foreign exchange rates, leverage profile and/or capital allocation policy.

Moody's has Consistently Delivered Strong Performance

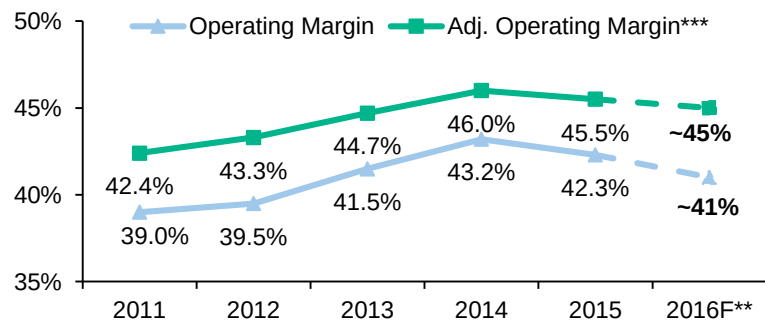
Revenue



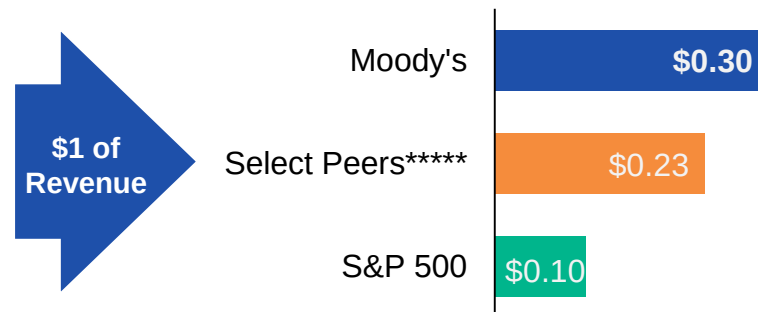
EPS*



Operating Margin Performance



5-year Average Free Cash Flow Conversion****



*2011-2015 represents non-GAAP EPS. 2016F represents GAAP EPS.

**Guidance as of July 22, 2016. Expecting to be toward the lower end of the EPS range.

***Adjusted Operating Margin is a non-GAAP measure. See appendix for reconciliation from non-GAAP to GAAP.

**** As of July 2016, over last five available years. Free Cash Flow is a non-GAAP financial measure. Source: FactSet.

*****Includes CLGX, DNB, EXPN, FDS, IHS, MORN, MSCI, SPGI, TRI, VRSK.

Moody's has a Disciplined Approach to Capital Allocation

Investing in Growth Opportunities

Reinvestment

- » Invest in existing businesses to support organic growth
- » FY 2016 capex guidance: ~\$125 million*

Acquisitions

- » Aligned with strategy
- » Opportunistic; ideally able to use offshore cash

Return of Capital

Dividends

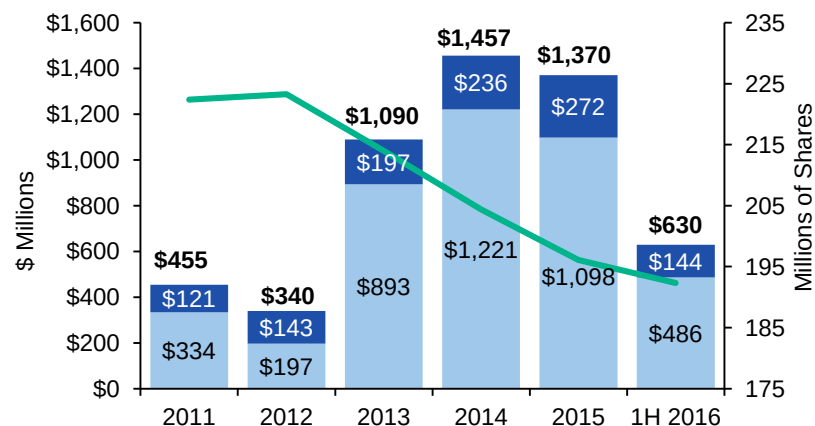
- » TTM 2Q 2016 payout ratio was ~30%**
- » Current dividend yield of 1.4% (as of 8/2/16)

Share Repurchases

- » FY 2016 share repurchase guidance: ~\$1 billion***
- » Average annualized net share count reduction of ~3% from 2011 to 2Q 2016

Share Repurchases and Dividends Paid

Share Repurchases (L) Dividends Paid (L) Share Count (R)

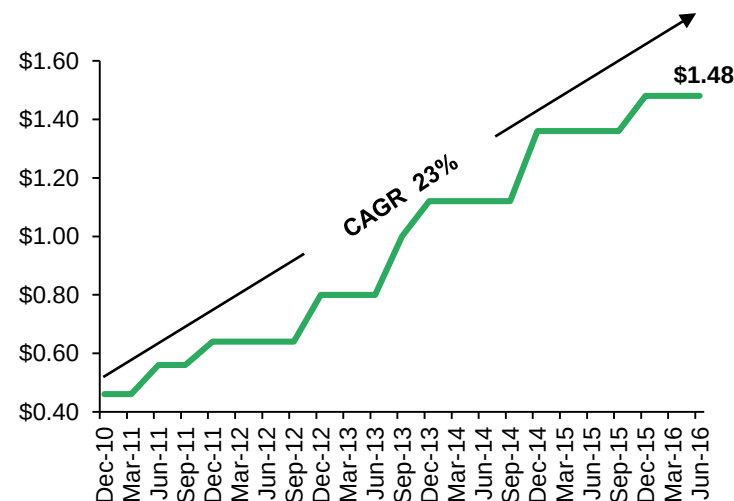


*Guidance as of July 22, 2016.

**Dividend payout ratio is defined as TTM 2Q 2016 dividends per share/non-GAAP EPS.

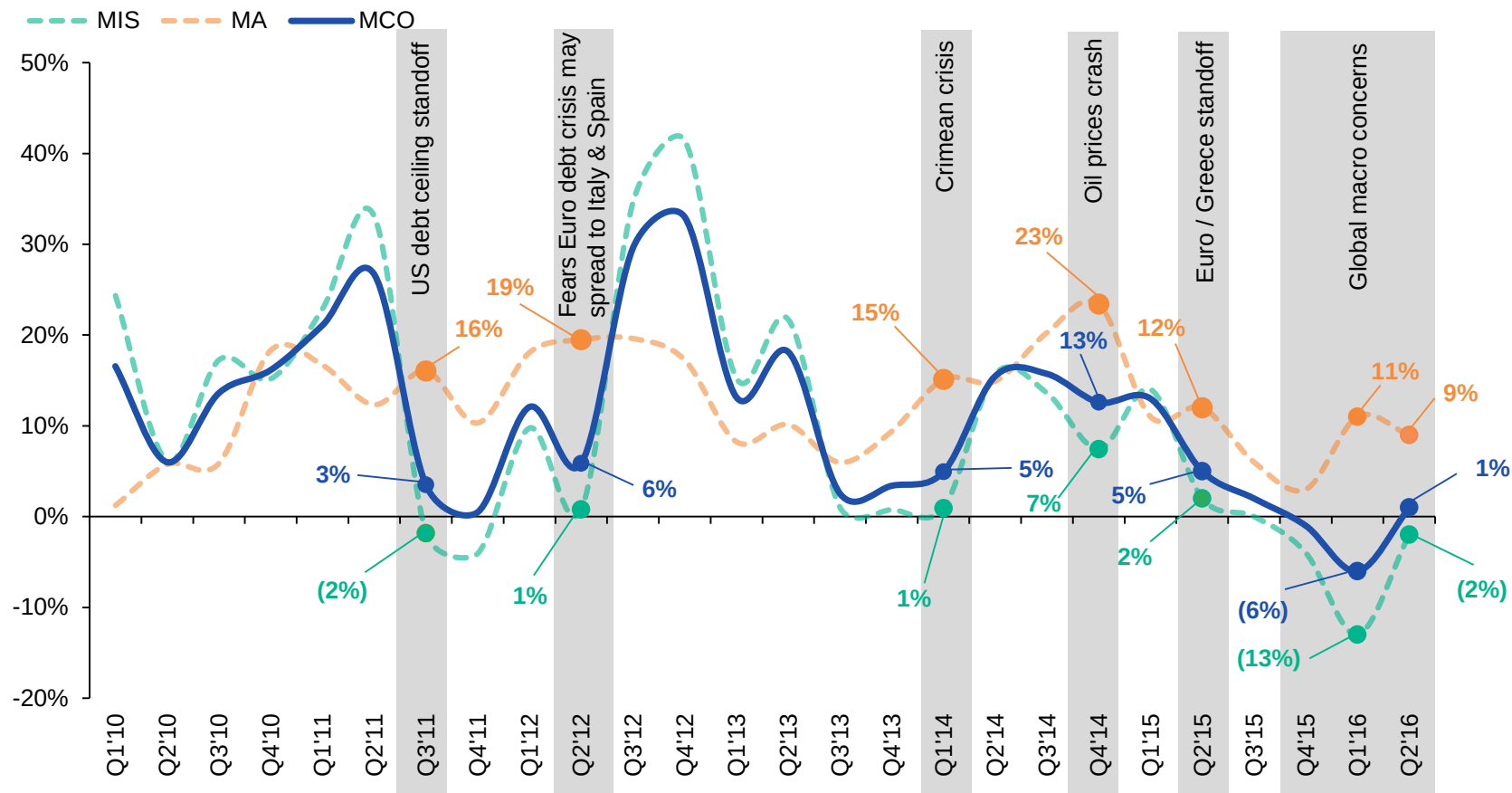
***Guidance as of July 22, 2016 (subject to available cash, market conditions and other ongoing capital allocation decisions).

Annualized Dividend Per Share (Last 5 Years)



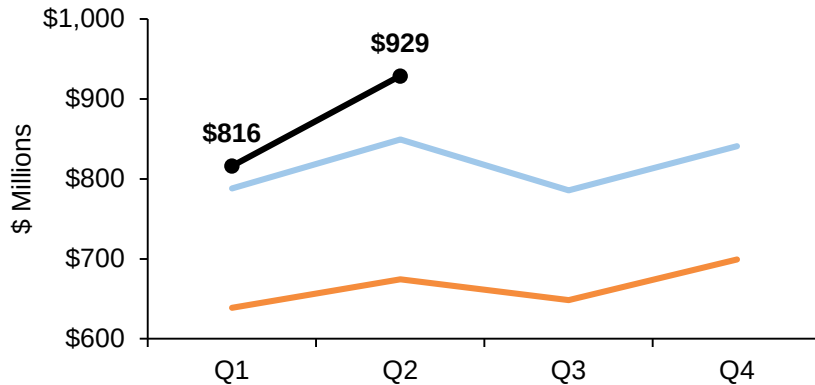
Moody's Analytics Revenue Growth Moderates Variability of Moody's Ratings Revenue Growth

Year-over-Year % Change

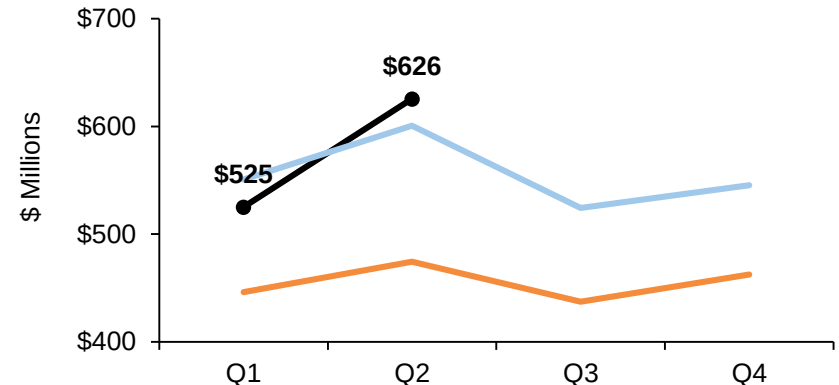


Revenue and Operating Income have Historically Followed a “Saw Tooth” Pattern

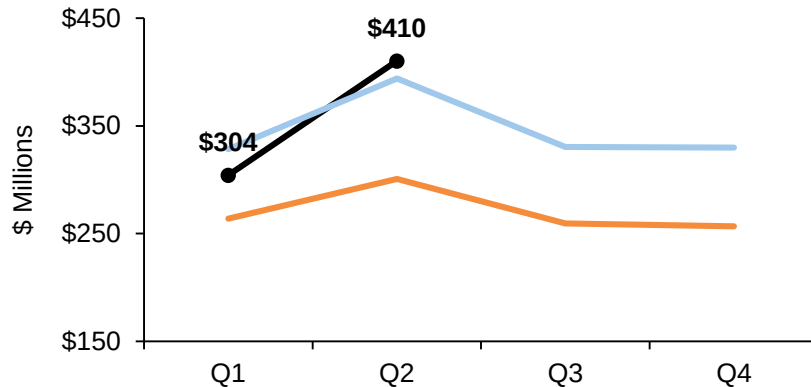
MCO Revenue



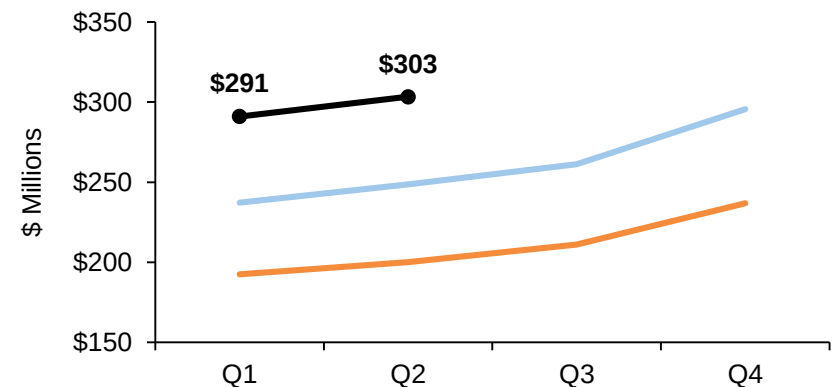
MIS Revenue



MCO Operating Income



MA Revenue



● 2016 — 3-Year Average (2013 - 2015) — 7-Year Average (2009 - 2015)

Full Year 2016 Guidance as of July 22, 2016

» Revenue:	Increase in the low-single-digit % range
» Operating Expenses:	Increase in the mid-single-digit % range
» Operating Margin:	Approximately 41%
» Adjusted Operating Margin*:	Approximately 45%
» Effective Tax Rate:	32% - 32.5%
» Earnings Per Share:	\$4.55 - \$4.65*
» Share Repurchases:	Approximately \$1 billion (subject to available cash, market conditions and other ongoing capital allocation decisions)
» Capital Expenditures:	Approximately \$125 million
» Depreciation & Amortization:	Approximately \$130 million
» Free Cash Flow**:	Approximately \$1 billion

*Expecting to be toward the lower end of the range.

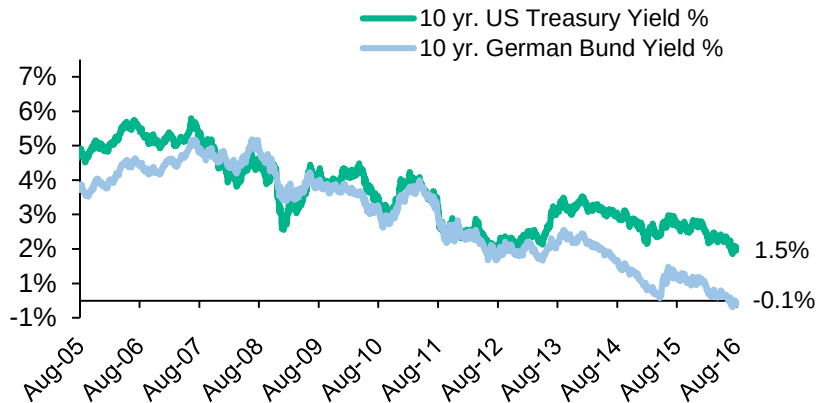
**Amount is a non-GAAP measure. See Appendix for a reconciliation of this non-GAAP measure to its comparable US GAAP measure.

2

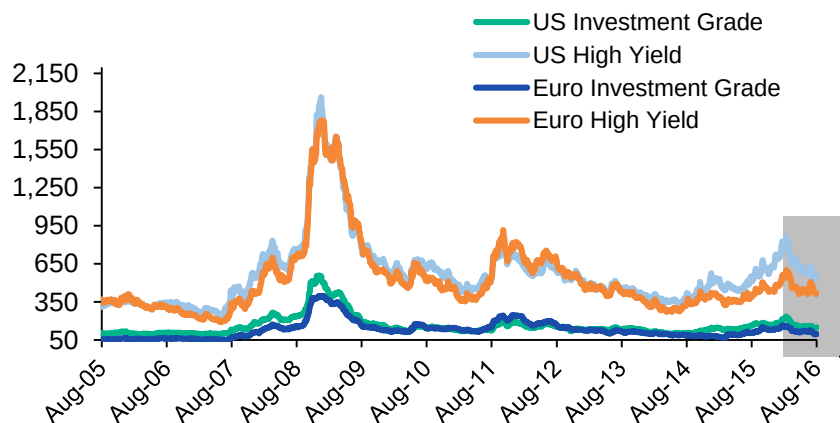
Capital Markets Overview

Attractive Funding Costs in US and Europe as Benchmark Rates and Spreads Resume Decline

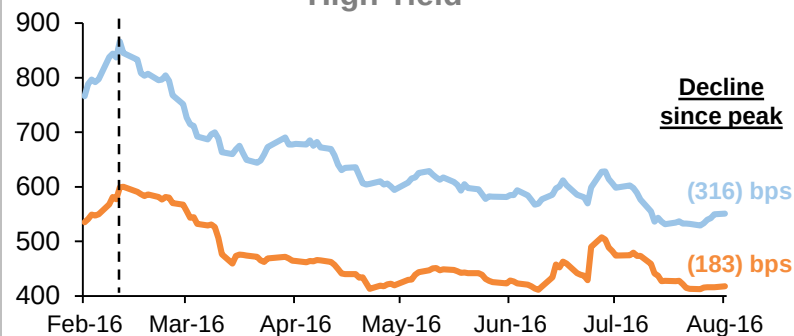
Interest Rates



Bond Spreads

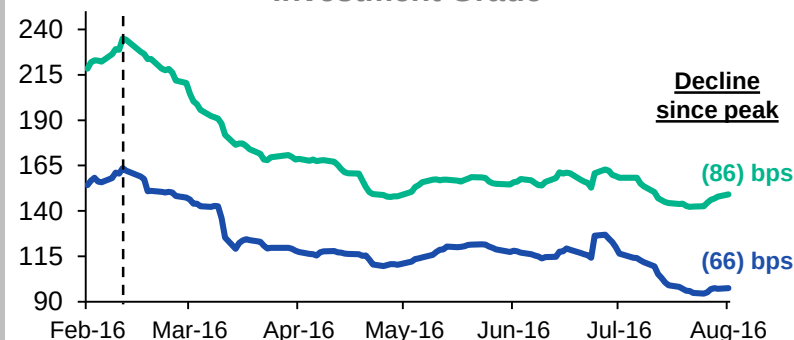


High Yield



» Spreads peaked in mid-Feb 2016

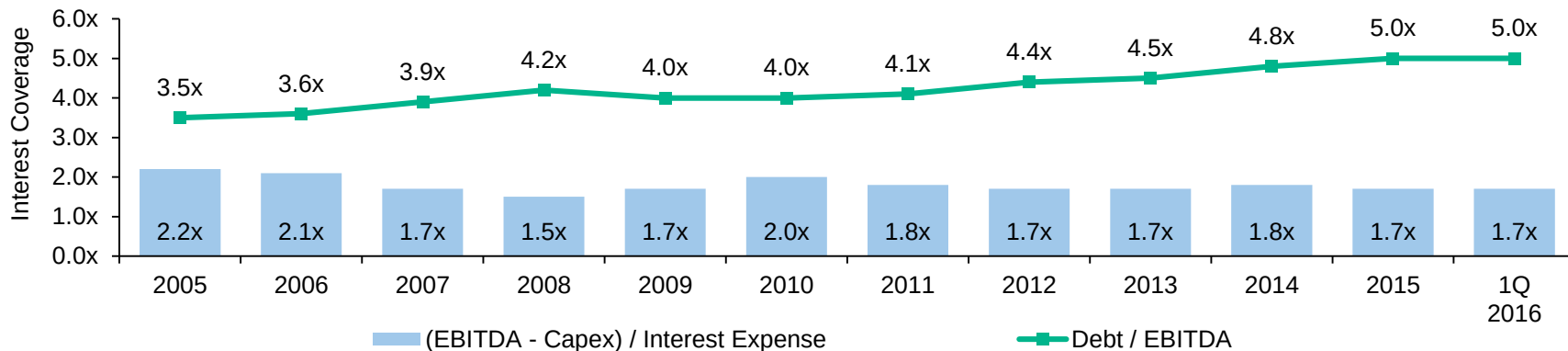
Investment Grade



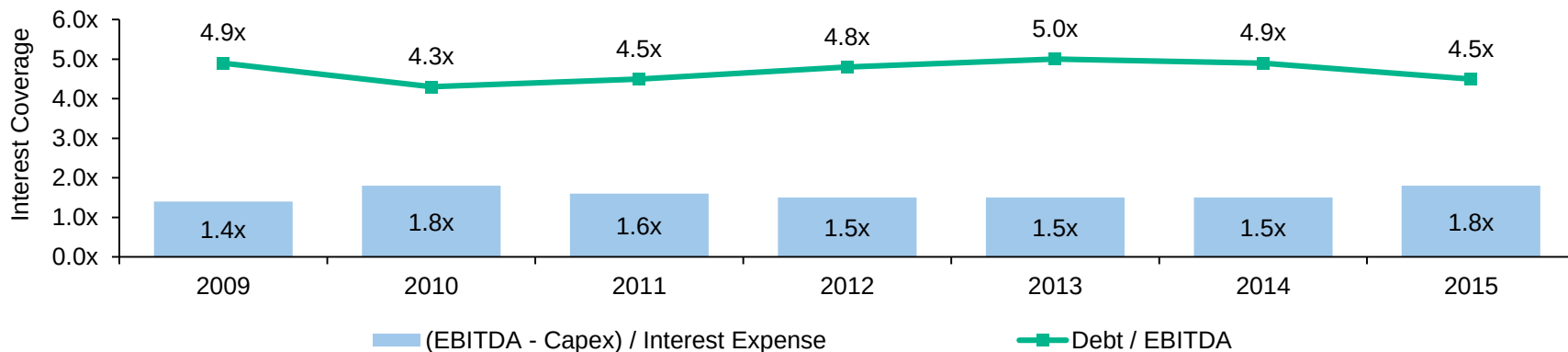
Source: Moody's Analytics, Barclays. Bond Spreads are for non-financial corporates. All data is through August 1, 2016.

Debt Leverage Up in North America but Down in Europe; Interest Coverage Remains Reasonable

Credit Metrics: North American Speculative Grade Companies



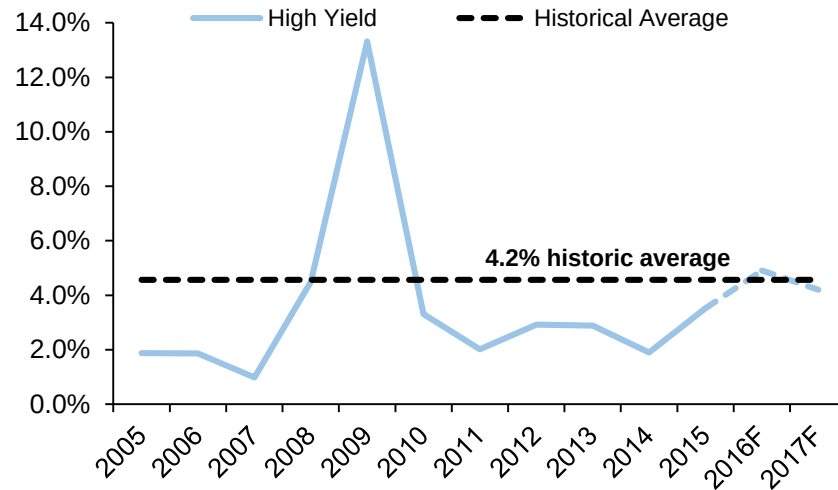
Credit Metrics: European Speculative Grade Companies



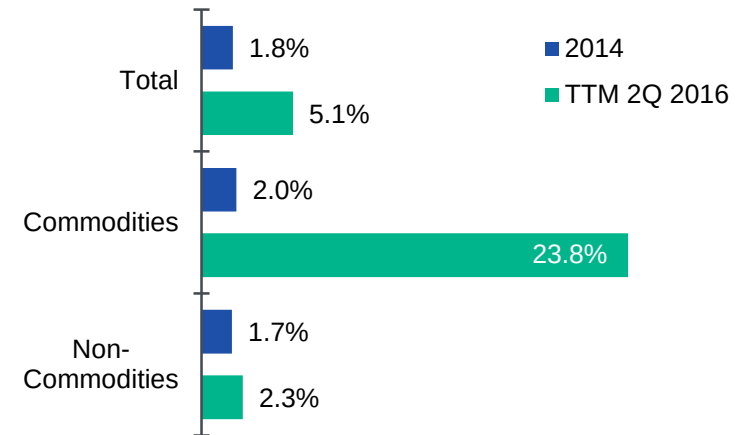
Source: Moody's Investors Service.

Outside of Commodities, Default Rates are Contained

Default Rates for Global Corporate Rated Issuance*



US Speculative Grade Default Rates**



- » Global speculative-grade default rate expected to finish 2016 at 4.9% before settling back to 4.2% in mid-2017, helped by improved market conditions and fewer commodity defaults

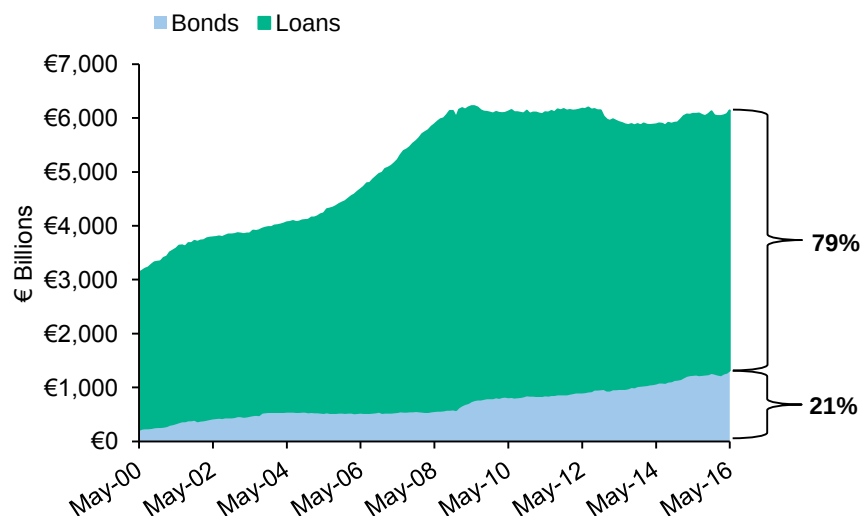
*Moody's rated corporate global speculative grade default historical average of 4.2% since 1983. 2016 and 2017 forecasts for trailing twelve months ended 12/31/16 and 6/30/17, respectively.

**Commodities sector includes Oil & Gas and Metals & Mining.

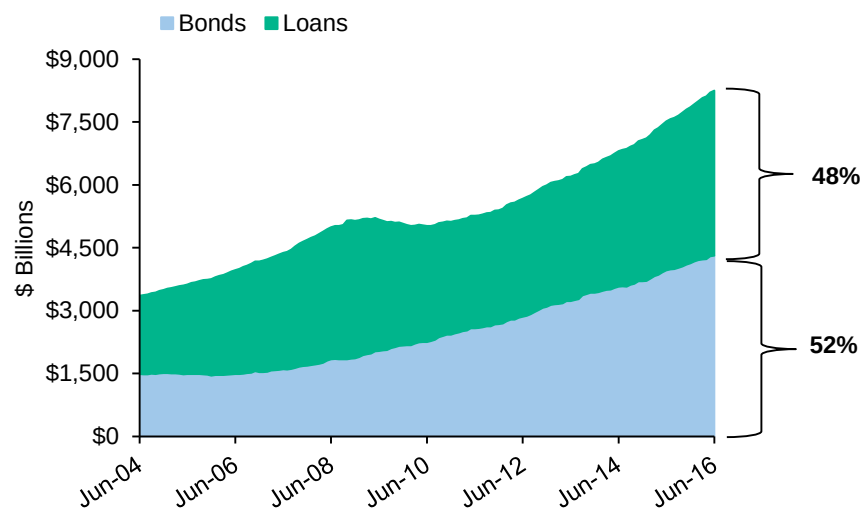
Source: Moody's Investors Service.

Disintermediation of Credit is an Ongoing Trend in the Global Capital Markets

European Non-Financial Corporate Bonds vs. Bank Loans Outstanding



US Non-Financial Corporate Bonds vs. Bank Loans Outstanding

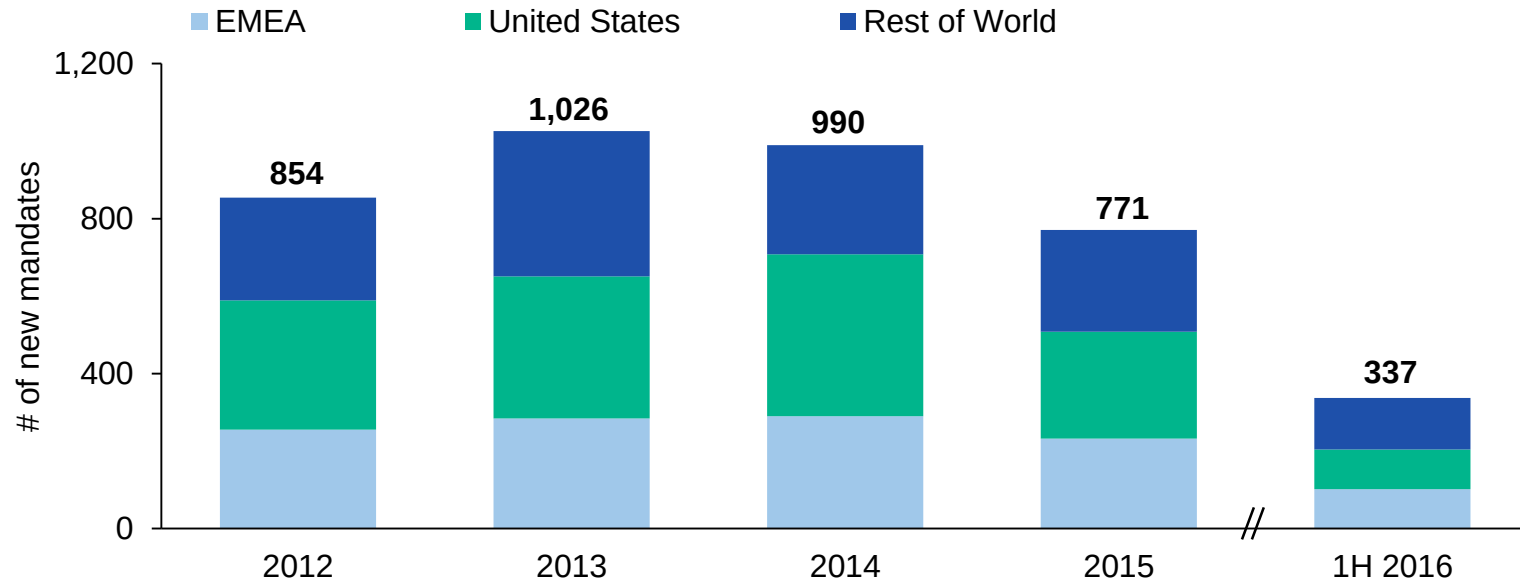


- » European companies have historically relied more on banks than their US counterparts, but are increasingly turning to the bond market

Sources: ECB, Federal Reserve, BarCap Indices. Europe bank loan data includes Eurozone and UK bank loans. Europe bond data includes euro and sterling denominated bonds. European data is through May 2016. North American data is through June 2016.

Disintermediation a Key Driver of Moody's Global New Rating Mandates

Global New Rating Mandates*



» In 2Q 2016, Moody's new rating mandates increased to 173, up 5% from 164 in 1Q 2016

*Rated by Moody's Investors Service.
Source: Moody's Investors Service.

3

Moody's Investors Service

Moody's Investors Service: A Leading Provider of Credit Ratings, Research, and Risk Analysis

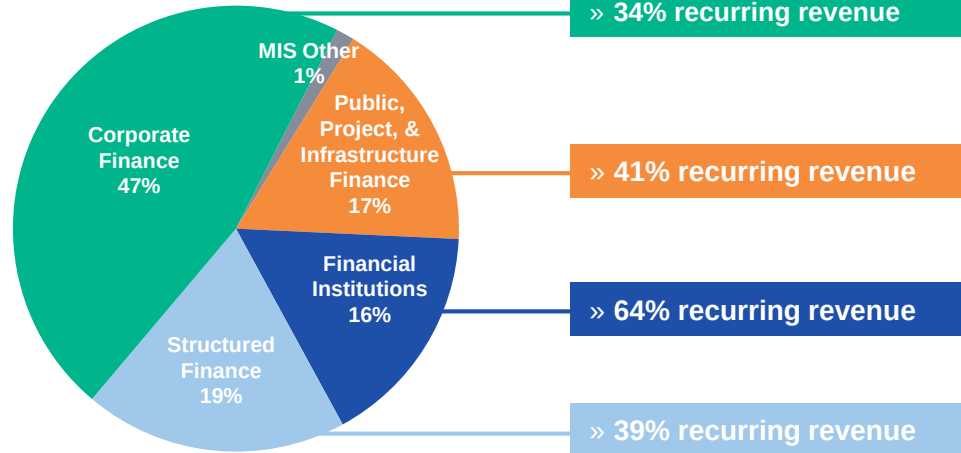
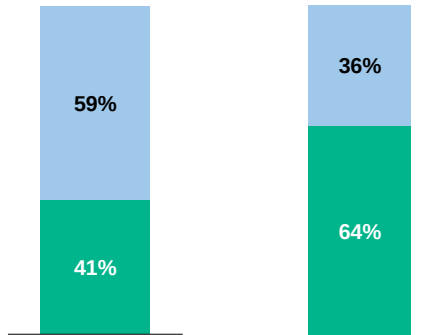
	Dedicated, experienced analytical teams		A common language of credit risk
	A process that brings together analytical views		A long institutional memory of credit
	A comprehensive view of credit risk in the capital markets based on unparalleled coverage		

- » *For issuers*, MIS ratings may provide tangible financing benefits, broaden access to global capital markets, and help inform the formulation of internal capital plans and funding strategies
- » *For other market participants*, MIS provides independent, globally comparable, transparent and industry-leading analysis of credit risk

Moody's Investors Service Financial Profile

TTM 2Q 2016 Revenue: \$2.2 billion*

■ Recurring ■ Transaction ■ US ■ Non-US



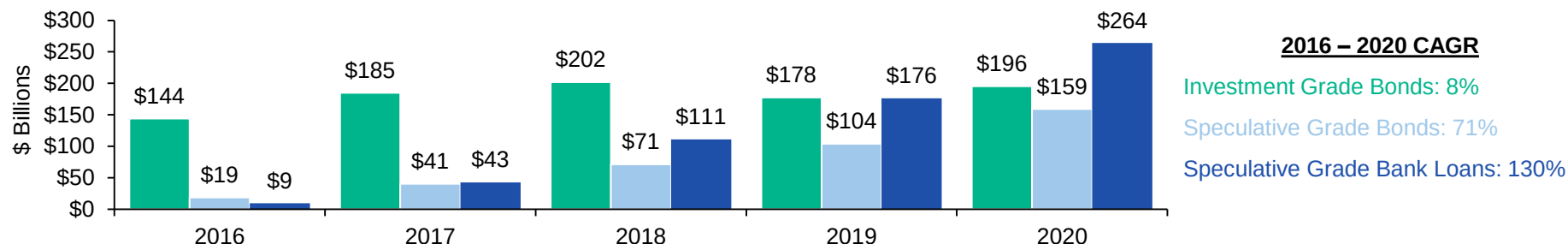
2016 Revenue Guidance as of July 22, 2016

Global	↓	low-single-digit % range
US	↓	low-single-digit % range
Non-US	↓	low-single-digit % range
Corporate Finance	↓	low-single-digit % range
Structured Finance	↓	high-single-digit % range
Financial Institutions	↑	mid-single-digit % range
Public, Project & Infrastructure Finance	↑	mid-single-digit % range

*All financial data for this section is for the trailing twelve months ended June 30, 2016.

North America and EMEA Non-Financial Corporates have ~\$3.1 Trillion of Refunding Needs*

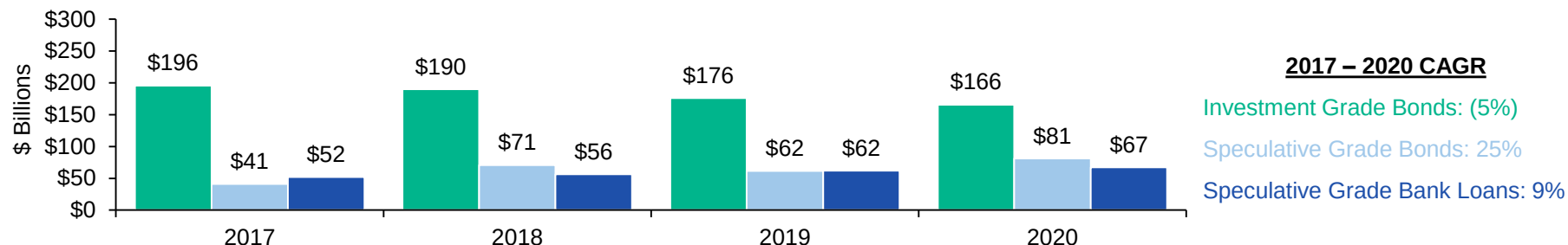
Debt Maturities: North America Moody's-Rated Corporate Bonds and Loans



Source: MIS, Feb-16.

Note: Data represents US & Canadian MIS rated corporate bonds & loans.

Debt Maturities: EMEA Moody's-Rated Corporate Bonds and Loans



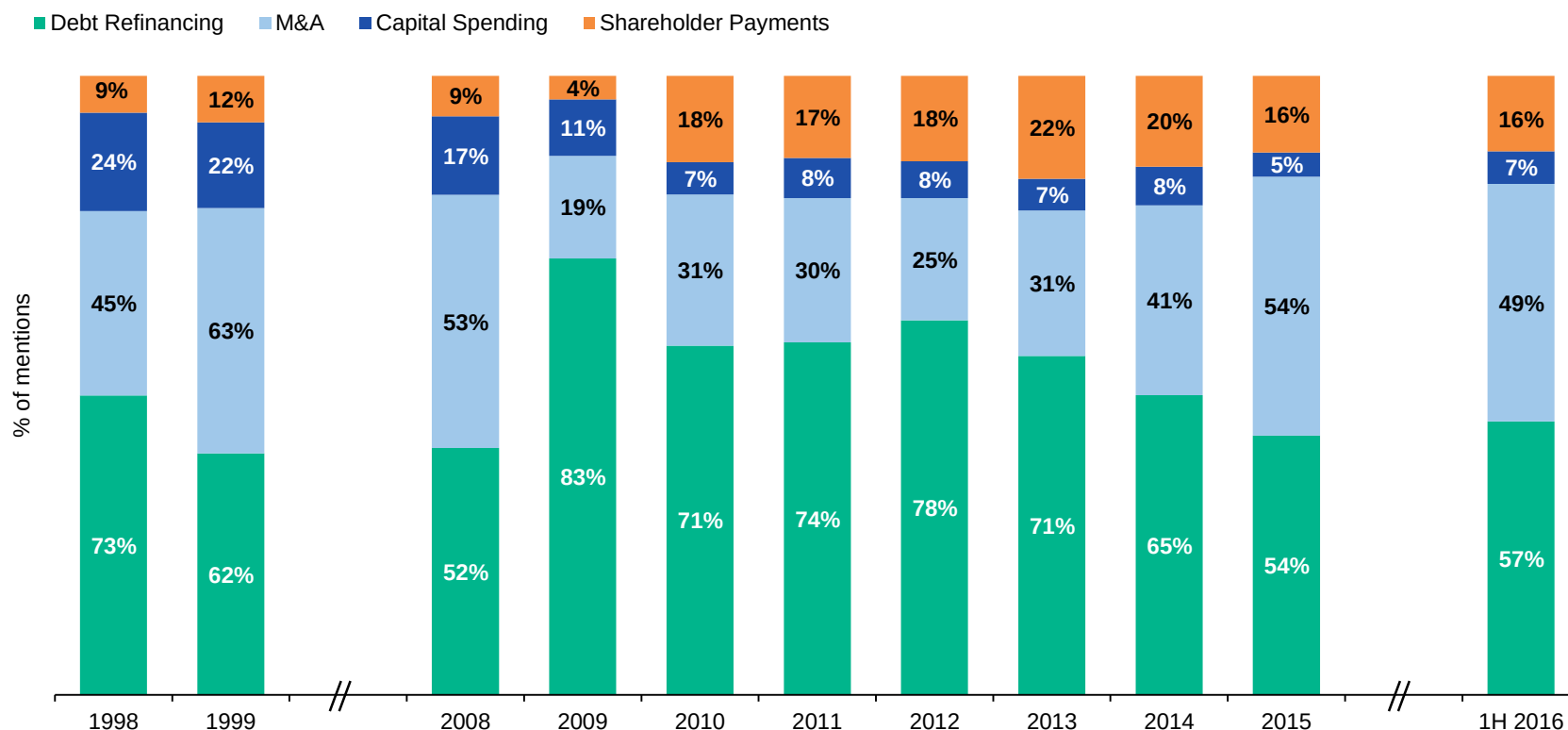
Source: MIS, Jul-16.

Investment Grade Bonds Speculative Grade Bonds Speculative Grade Bank Loans

*Amount reflects total maturities identified in the above sourced reports.

Debt Refinancing and M&A are Most Frequently Stated Uses of Proceeds

Uses of Funds from USD High Yield Bonds and Bank Loans*



*% of mentions for each respective period in bond issue or bank loan program tranche documents. Excludes issues of less than \$25 million and general corporate purposes.

An issue can have multiple purposes and, as a result, %'s do not sum to 100%.

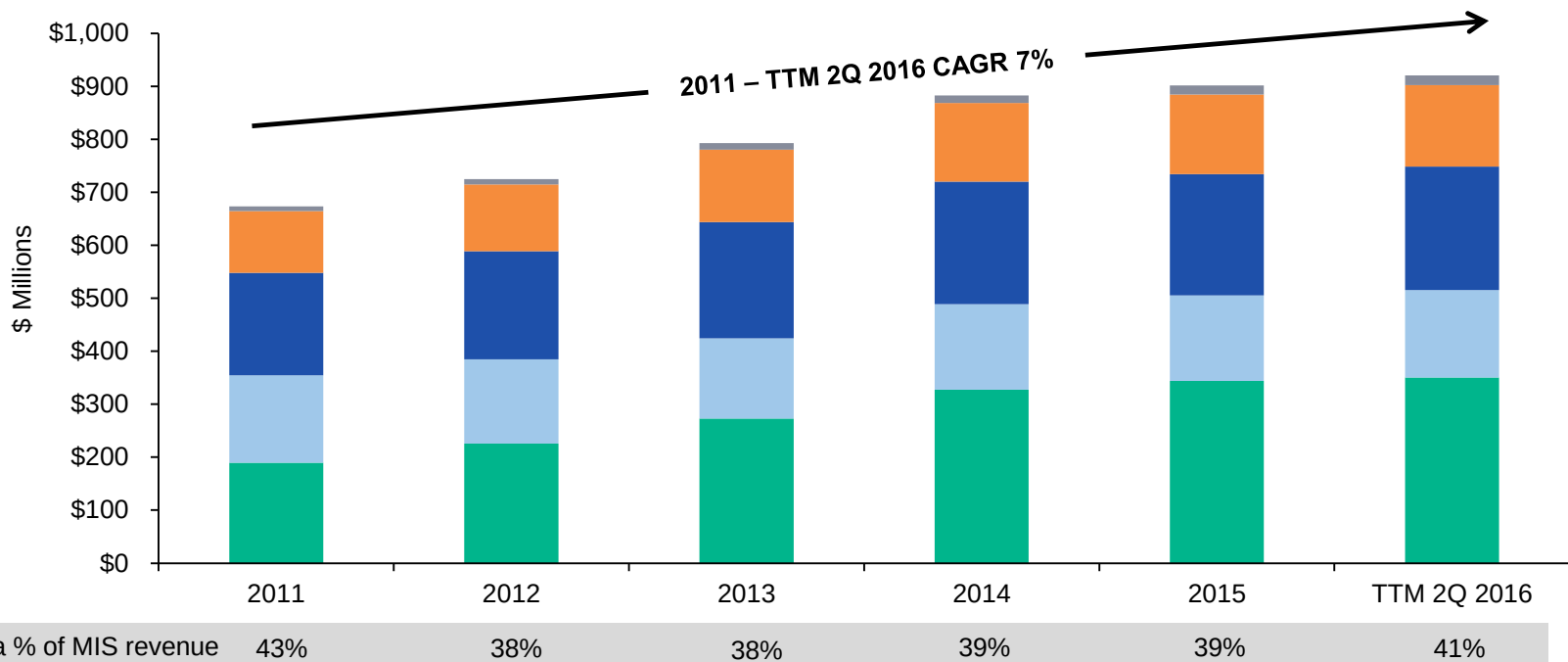
Source: Moody's Capital Markets Research Group (CMRG).

Moody's Investors Service's Recurring Revenue*

Provides Stability

MIS Recurring Revenue

■ Corporate Finance ■ Structured Finance ■ Financial Institutions ■ Public, Project, & Infrastructure Finance ■ MIS Other



- » Drivers of MIS recurring revenue include growth in monitoring fees and select elements of pricing
- » Recurring revenue averages ~40% of total MIS revenue

*MIS recurring revenue is typically billed annually and recognized ratably over 12 months. Recurring revenue can also be billed upfront and recognized over the life of the security.

4

Moody's Analytics

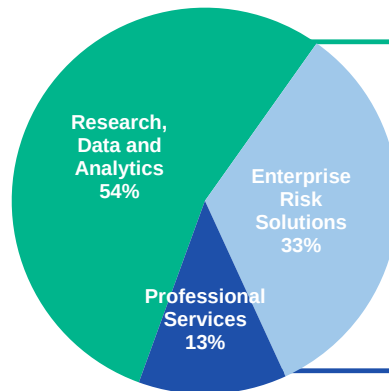
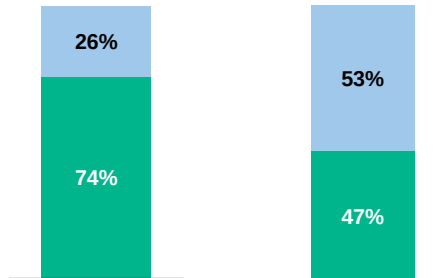
Moody's Analytics Provides Essential Insight Serving Global Financial Markets

 Research Data & Analytics	 Enterprise Risk Solutions	 Professional Services
» MIS research & data » MIS ratings feeds » Quantitative credit metrics (EDFs) » Economic research, data & models » Structured finance analytics & data	» Software solutions and risk management services that assist with: - Financial spreading - Risk scoring - Default modeling - Exposure aggregation and management - Portfolio analytics - Stress testing - Risk-Weighted Assets (RWA) calculation and reporting	» Outsourced research & consulting » Financial training & education - In-house training, seminars, and on-line learning - Professional certification

Moody's Analytics Financial Profile

TTM 2Q 2016 Revenue: \$1.2 billion*

■ Recurring ■ Transaction ■ US ■ Non-US



» > 95% recurring revenue
» 96% retention rate

» 63% recurring revenue

» Combination of one-off contracts and semi-recurring revenue

2016 Revenue Guidance as of July 22, 2016

Global	↑	mid-single-digit % range
US	↑	low-double-digit % range
Non-US	↑	low-single-digit % range
Research, Data & Analytics	↑	high-single-digit % range
Enterprise Risk Solutions	↑	high-single-digit % range
Professional Services	↓	low-single-digit % range

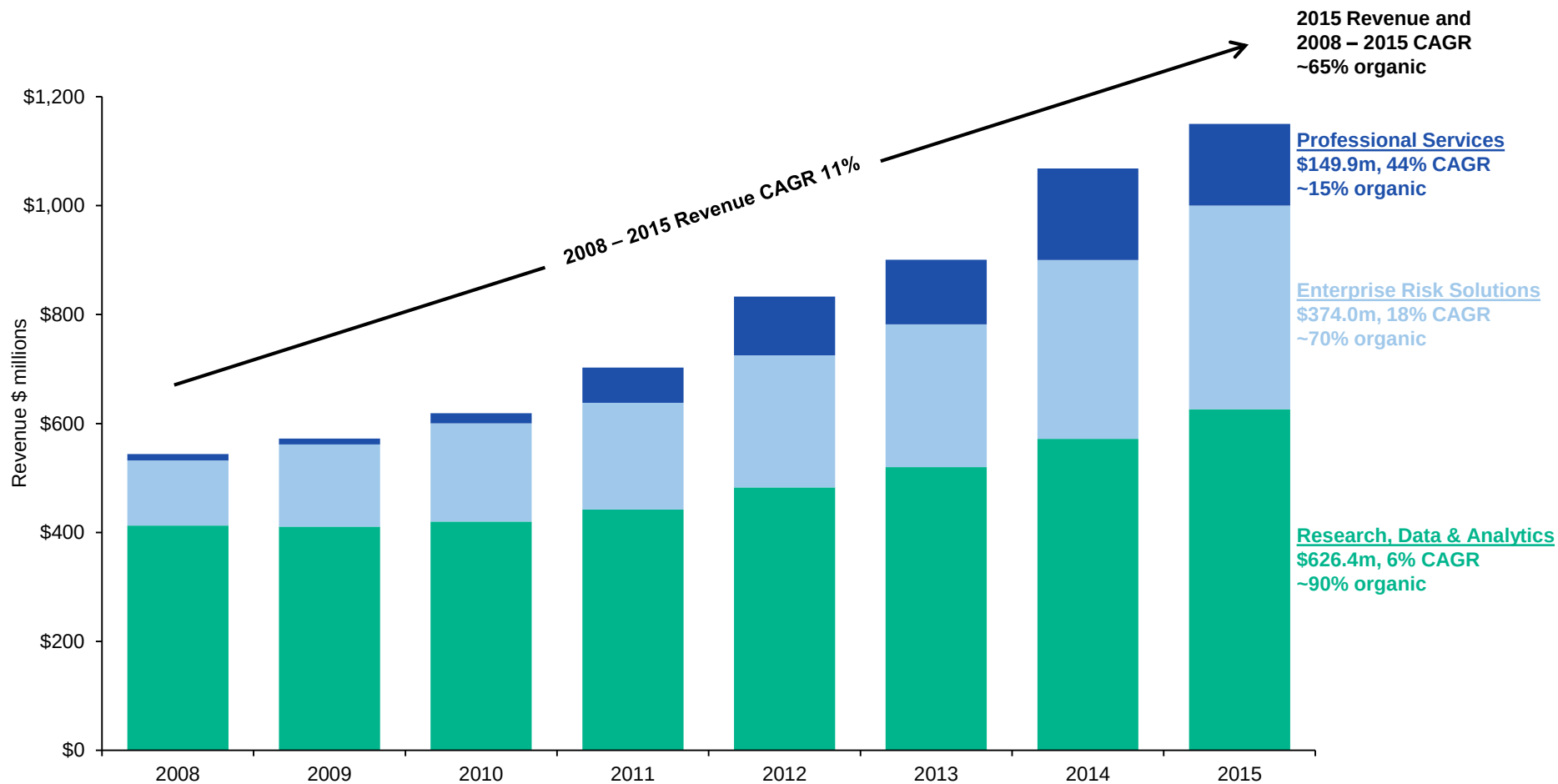
Operating Margin

» Expect operating margin to grow to the mid-20's percent range over the next several years



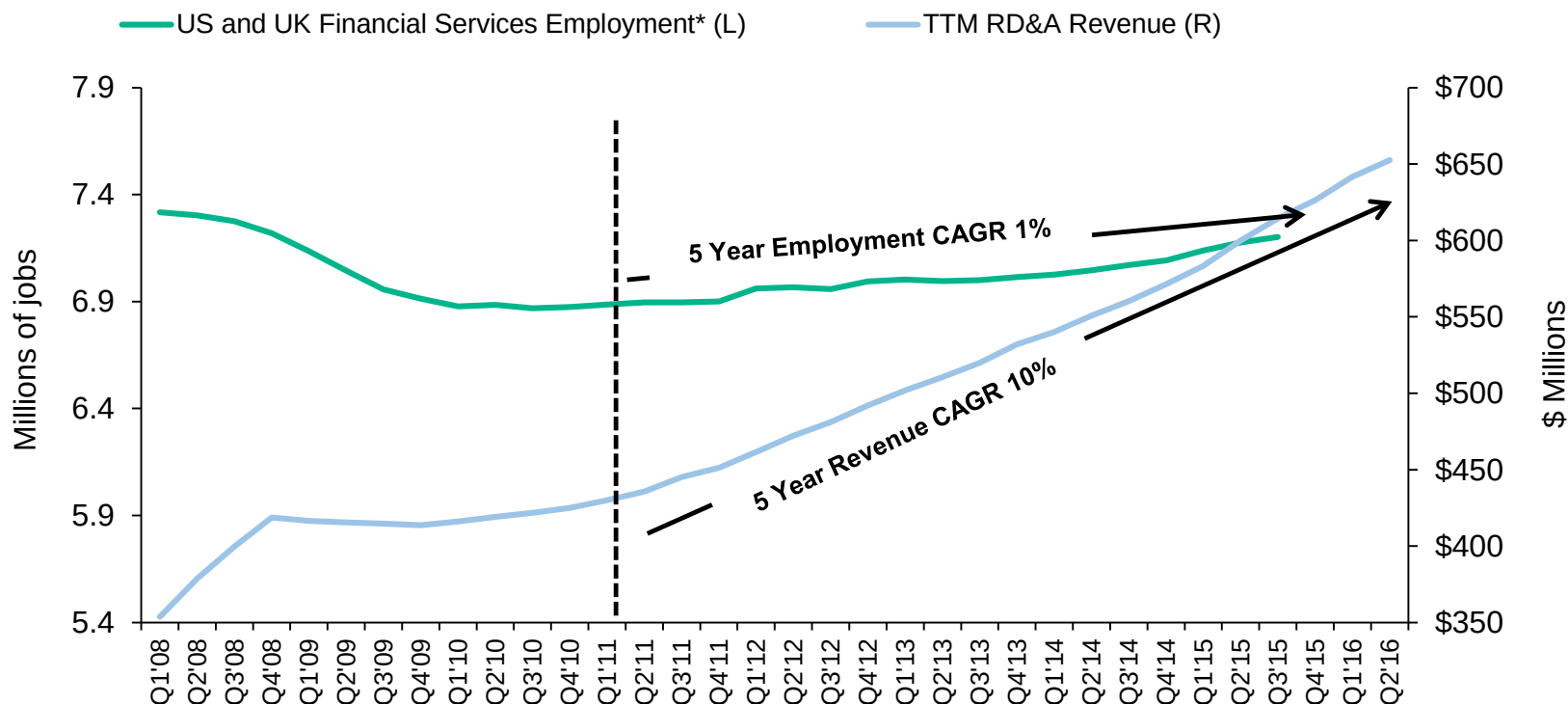
*All financial data for this section is for the trailing twelve months ended June 30, 2016.

Moody's Analytics Has Multiple Platforms for Growth



RD&A Revenue has Grown Despite Flat Financial Services Employment

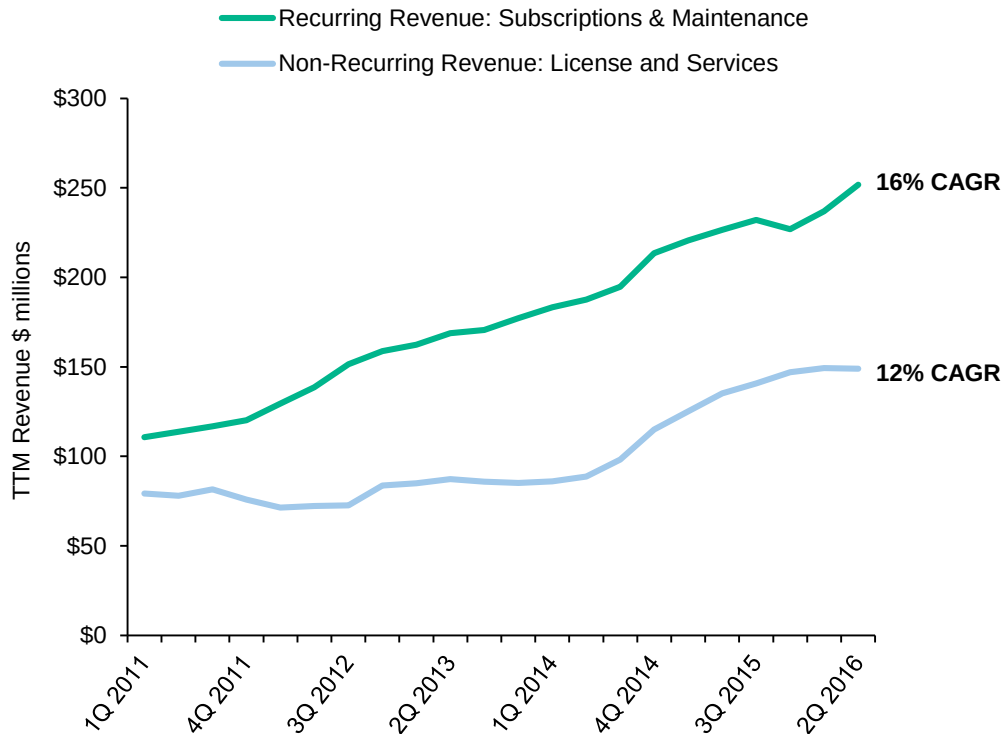
RD&A Revenue vs. Financial Services Employment



*Source: US Bureau of Labor Statistics and the UK Office for National Statistics. Available data through September 30, 2015.

ERS: Solid Track Record of Growth

Overall CAGR Since 2011 of 15%



Reminder: While ~2/3 of revenue base is renewable, results are affected by large projects – timing may impact sales, revenues, and margin in any one period

» Growth drivers

- Regulation and accounting standards driving demand for automated software tools
- Financial institutions adopting standard approaches and best practices in risk management
- Expense management pressure shifting FIs away from home-grown technology solutions

» **Investment in common code base offering rich functionality and streamlined configuration options** will drive sales and simplify customer adoption

» **Focus on higher-value, more profitable business** supports margin expansion; some top-line offset due to slower growth in low-margin services

Professional Services Overview

Knowledge process outsourcing

- » Leading provider of offshore research and analytic services
- » 2,500 employees; 6 delivery centers
- » 150+ institutional clients in global financial and corporate sectors



Certificates, designations & accreditations

- » Canada's leading provider of financial services education and designations
- » 270+ courses taken by 800,000+ financial professionals
- » Endorsed by the Investment Industry Regulatory Organization of Canada (IIROC), Canada's stock exchanges and Canada's securities regulatory commissions



Financial services training

- » Provider of global learning capabilities to banks, asset managers, regulators and non-bank financial institutions
- » Multiple delivery channels, including classroom instruction, web classes and e-learning
- » Signature Commercial Lending program available in universal and IFRS; translated and localized for several regions

Moody's Analytics: Well-Positioned to Drive Growth

» Strong operating track record

- 34 consecutive quarters of year/year revenue growth
- 2008 – 2015 revenue CAGR of 11%
- 22 quarters of double-digit revenue growth
- 2015 operating margin of 19.9%

» Solid market position supporting risk management at financial institutions

- Rich product portfolio supported by unique, differentiating features
- Product offering focused on delivering **need-to-have** products and services
- Good penetration of customer base, with plenty of opportunity ahead

5

Conclusion

Why Invest in Moody's?

- » **We strive to be the world's most respected authority serving risk-sensitive financial markets**
- » **We have had strong revenue and earnings growth, as well as strong cash flow conversion**
 - 2011 – 2015 Revenue CAGR of 11%
 - 2011 – 2015 non-GAAP EPS* CAGR of 17%
 - 2011 – 2015 free cash flow conversion rate of ~30%
- » **We are committed to returning capital to our shareholders**
 - 2011 – 2015 returned \$4.7 billion, or 107% of free cash flow, to shareholders via share repurchases and dividends
- » **We will selectively invest in strategic growth opportunities**
 - Leverage brand to extend our relevance in financial markets
 - Expand our product offerings and geographic influence

*See appendix for reconciliation of non-GAAP EPS to GAAP EPS.

Moody's Awards

Moody's is the proud recipient of over 20 awards from publications around the world. Spanning both Moody's Investors Service and Moody's Analytics, this recognition helps expand Moody's position as a leader in the global capital markets and reflects the hard work and contributions of all our employees.

Moody's Investors Service



#1 US Credit
Rating Agency:
2012-2016



Multiple-Award Winner,
Including Best Rating
Agency for Corp. Grade
Investment Bonds: 2016



Best Ratings Agency,
Islamic Finance:
2016



Most Influential
Credit Rating Agency:
2013-2015



Best Islamic
Rating Agency:
2015



Project Finance Firm
of the Year (USA):
2015



Best Islamic Finance
Rating Agency:
2015



#1 Asia Credit
Rating Agency:
2012-2015



#1 US Rating Agency: 2015
#1 US Municipal Research
Team: 2014



Australia's Rating
Agency of the Year:
2014-2015

Moody's Analytics



Best Credit Risk
Solution Provider –
RiskCalc™



#1 Risk Management
Regulatory/Economic
Capital Calculation



Liquidity Risk Technology
Implementation of the Year



Crystal Ball Award

Ranked Top-5 in 5 out of 11
performance categories: 2011,
2012, 2014, 2015 Expectations
(1-, 2-, 3-, 4-Year Horizons)



Front-Line Customer Service
Team of the Year – Financial
Services Industries



Winner Enterprise
Stress Testing
Overall #7 out of 100



#1 Enterprise- Wide Credit
Risk Management and
#1 Economic and Regulatory
Risk Capital Calculation



Best Solvency II Software
Best Economic Scenario
Generation Software



#1 Regulatory Capital
Calculation and Management
and #1 Economic Capital
Calculation and Management



Recognized as a Top
Solution Provider



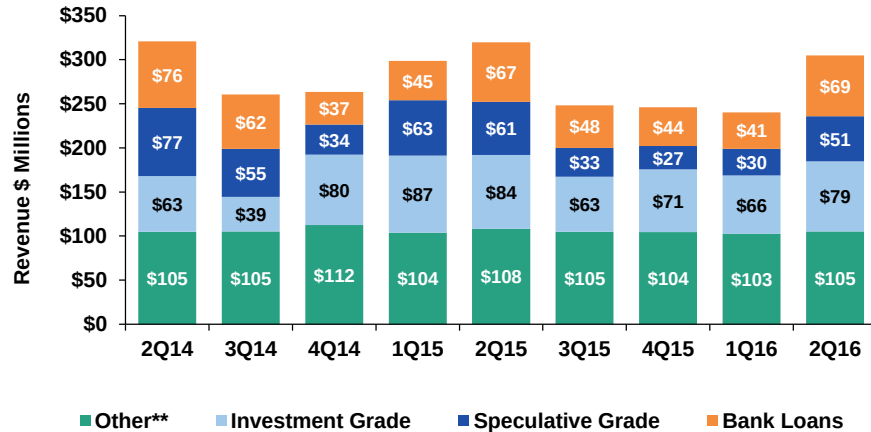
Recognized as a Top
Solution Provider

6

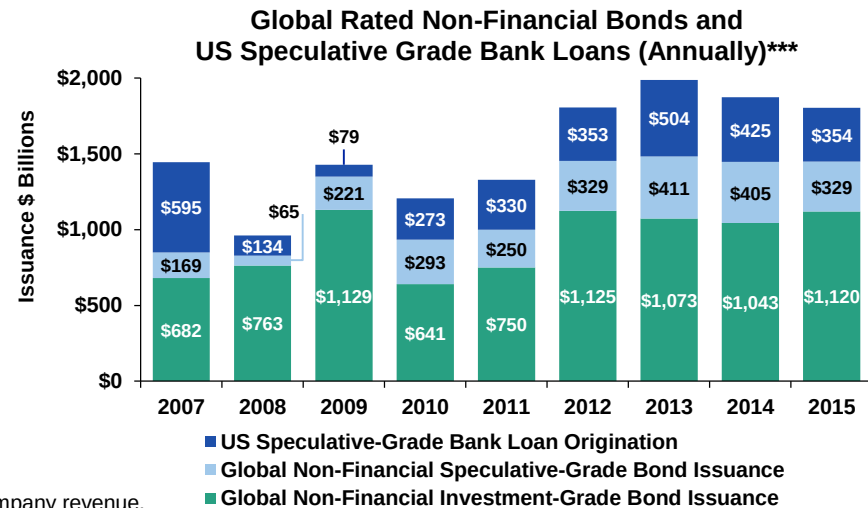
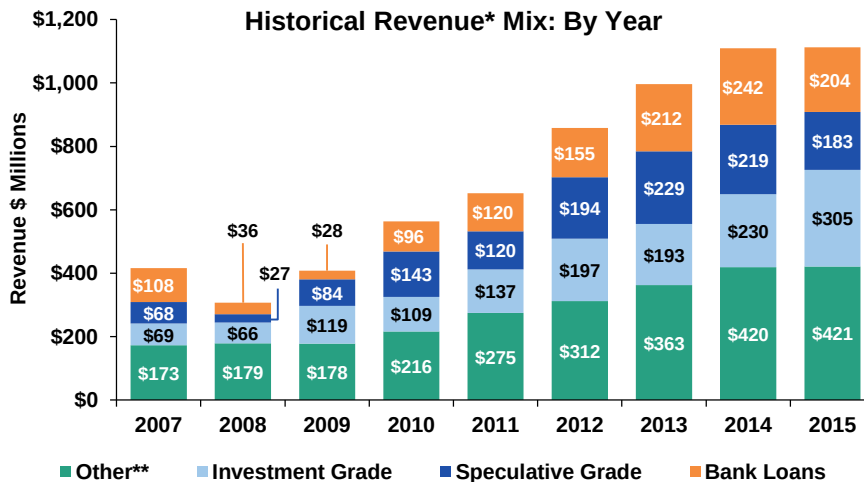
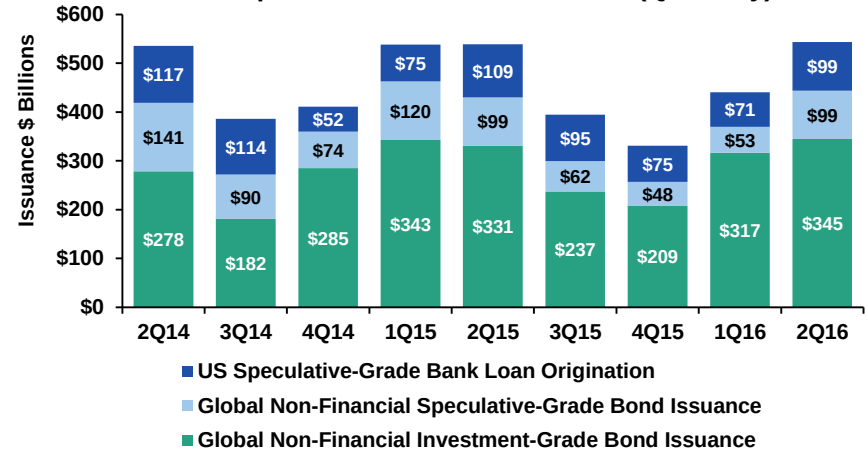
Appendix

Corporate Finance: Revenue and Issuance

Historical Revenue* Mix: By Quarter



Global Rated Non-Financial Bonds and US Speculative Grade Bank Loans (Quarterly)***



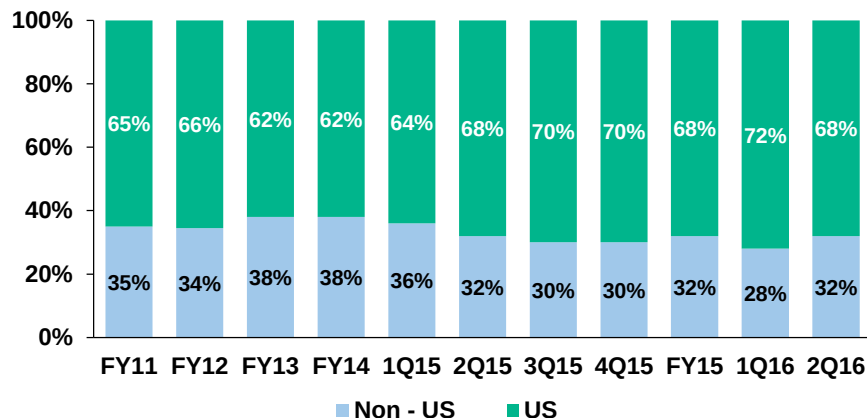
*Historical data has been adjusted to conform with current information and excludes intercompany revenue.

**Other includes: monitoring, commercial paper, medium term notes, and ICRA.

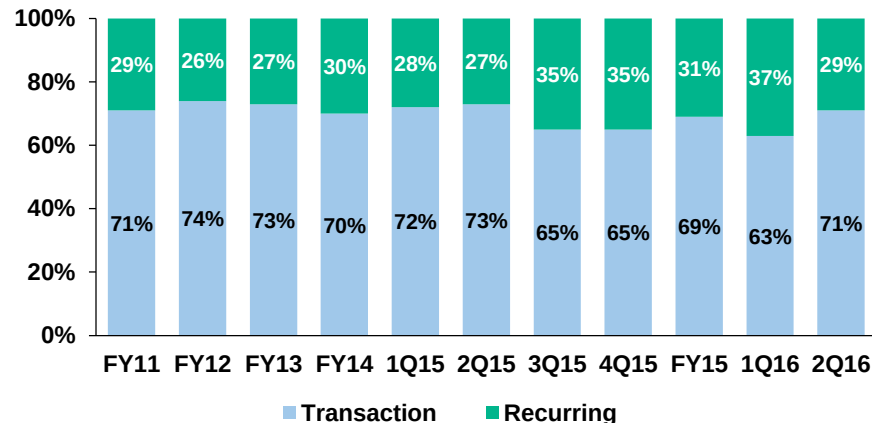
***Sources: Moody's Capital Markets Research Group, Dealogic; US Speculative-Grade Bank Loan Origination represents Moody's rated new US bank loan programs. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Corporate Finance: Revenue Diversification

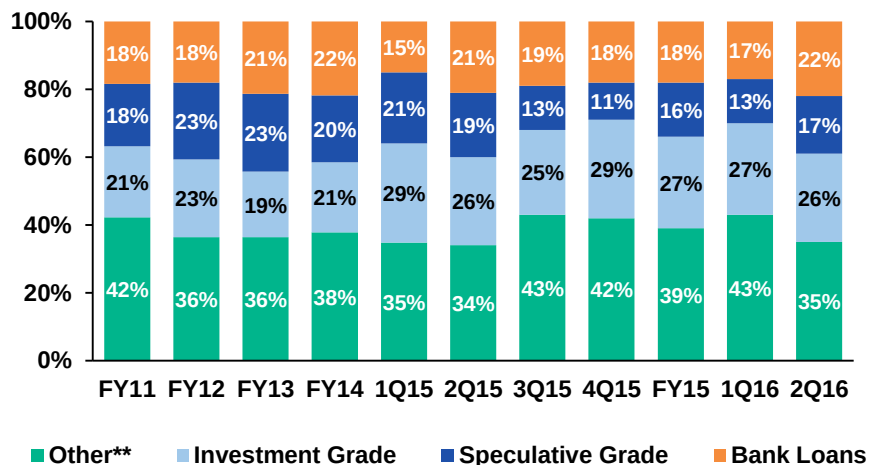
Revenue* Distribution: Geography



Revenue* Distribution: Recurring vs. Transaction



Revenue* Distribution: Product



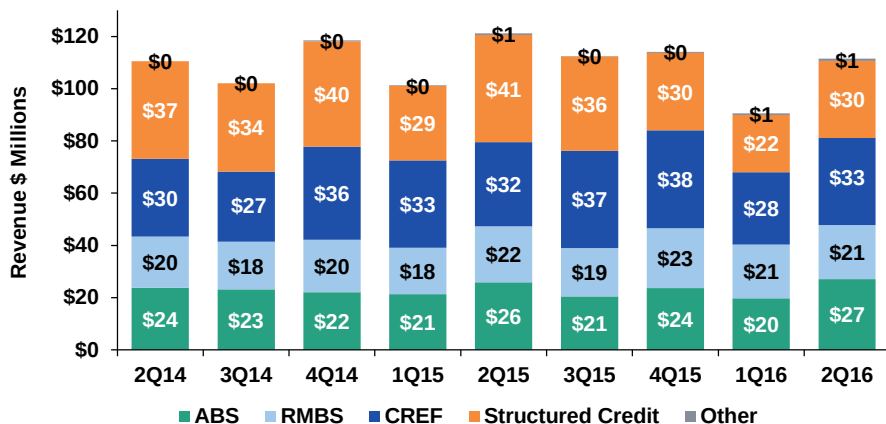
*Historical data has been adjusted to conform with current information and excludes intercompany revenue.

**Other includes: monitoring, commercial paper, medium term notes, and ICRA

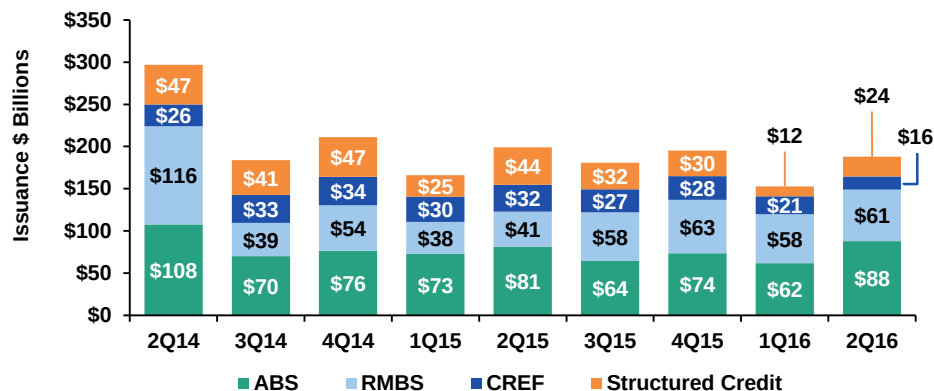
Percentages have been rounded and may not total to 100%.

Structured Finance: Revenue and Issuance

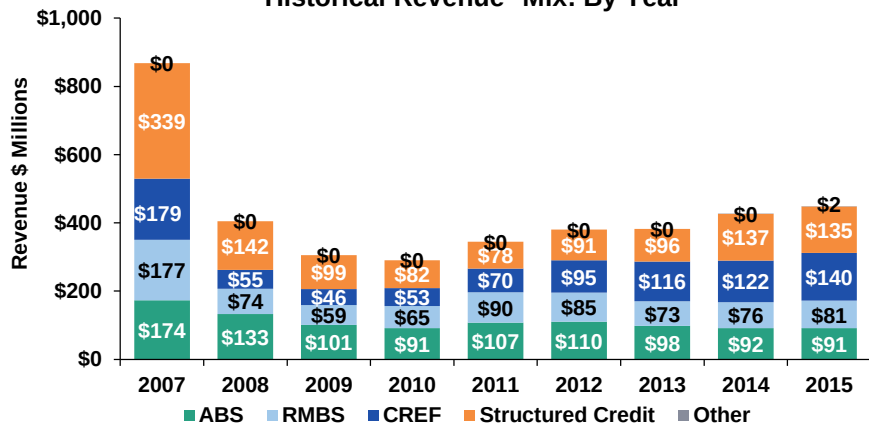
Historical Revenue* Mix: By Quarter



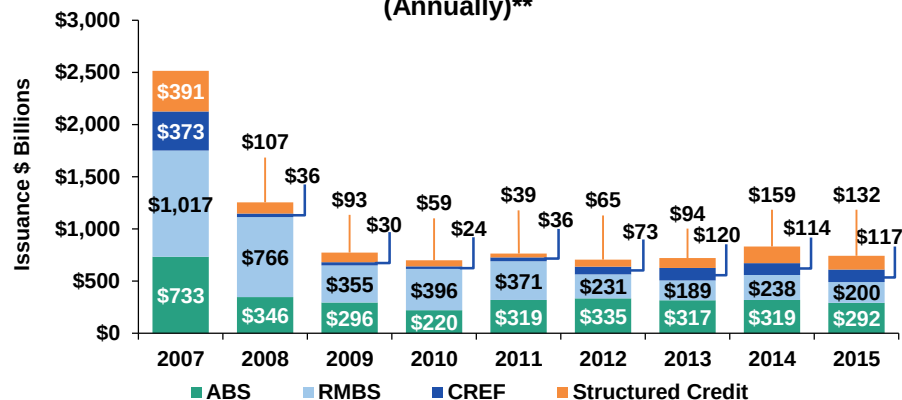
Global Rated Structured Finance (Quarterly)**



Historical Revenue* Mix: By Year



Global Rated Structured Finance (Annually)**



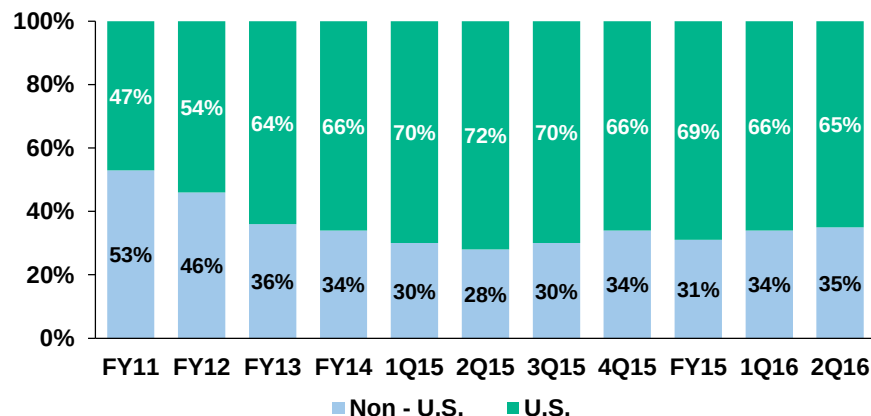
*Historical data has been adjusted to conform with current information and excludes intercompany revenue.

**Sources: AB Alert, CM Alert, Moody's Corporation. Debt issuance categories do not directly correspond to Moody's revenue categorization.

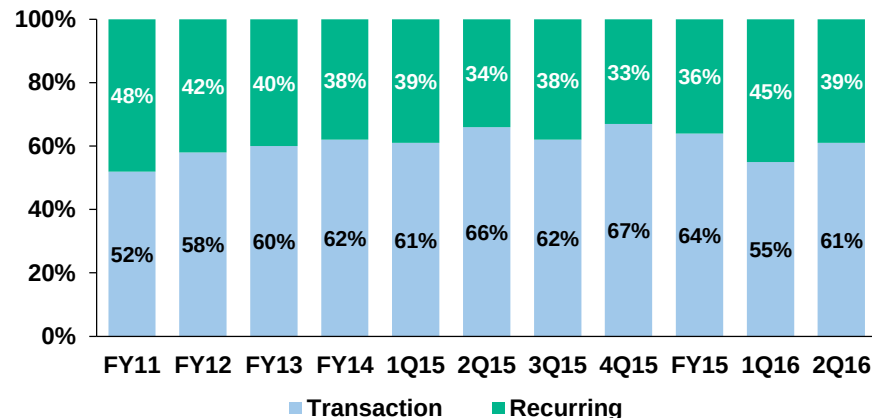
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Structured Finance: Revenue Diversification

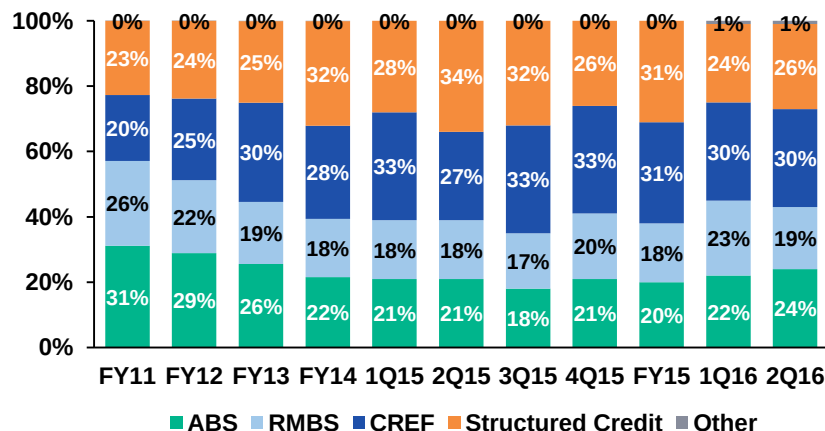
Revenue* Distribution: Geography



Revenue* Distribution: Recurring vs. Transaction



Revenue* Distribution: by Product

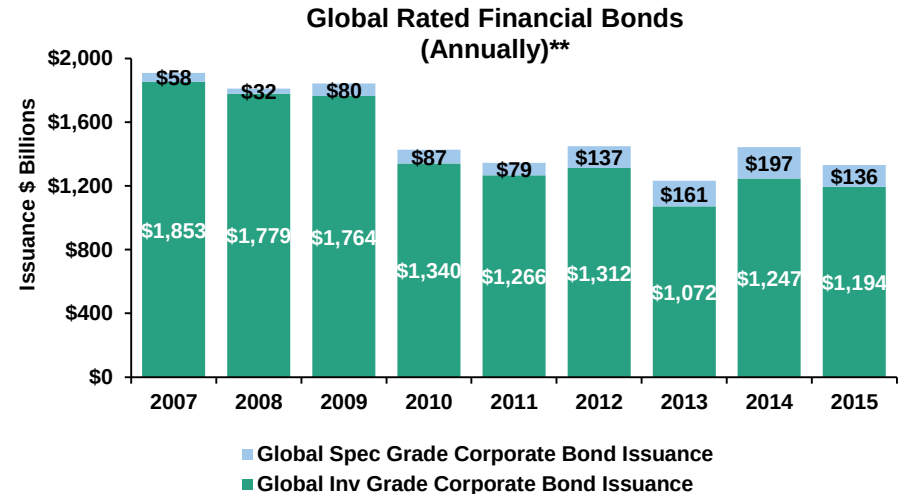
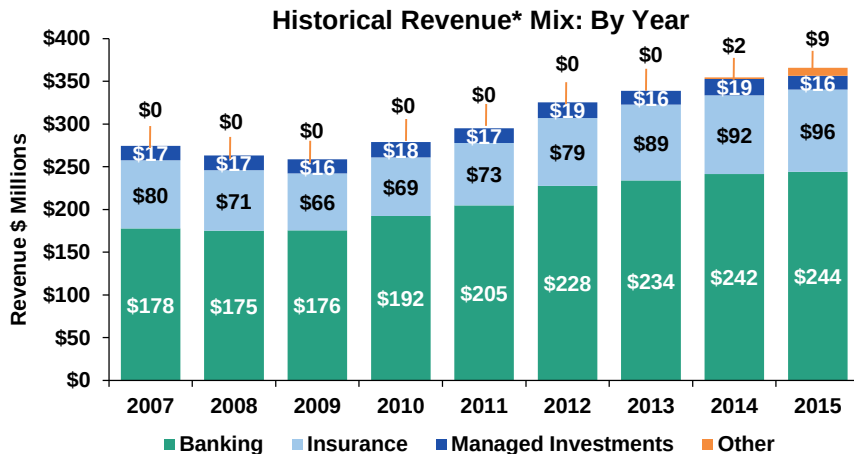
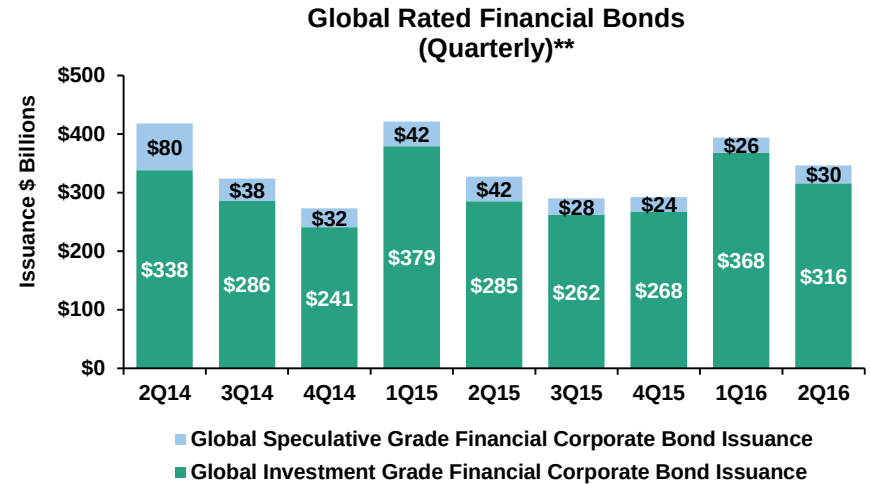
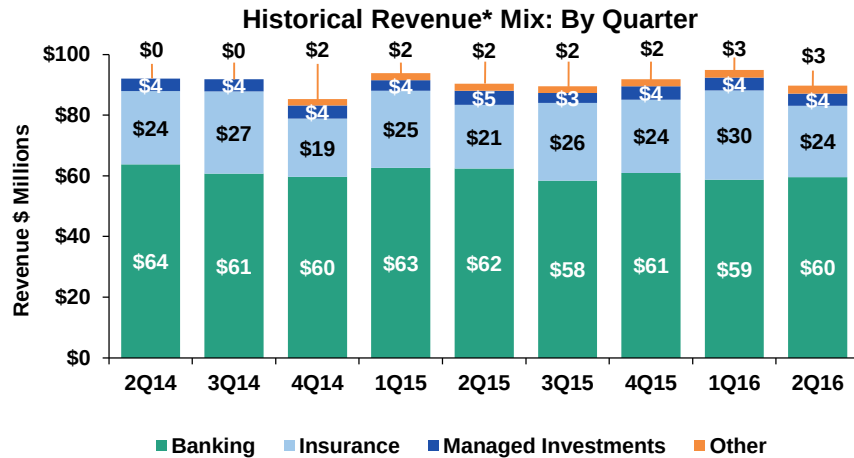


*Historical data has been adjusted to conform with current information and excludes intercompany revenue.

Percentages have been rounded and may not total to 100%.

Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Financial Institutions: Revenue and Issuance

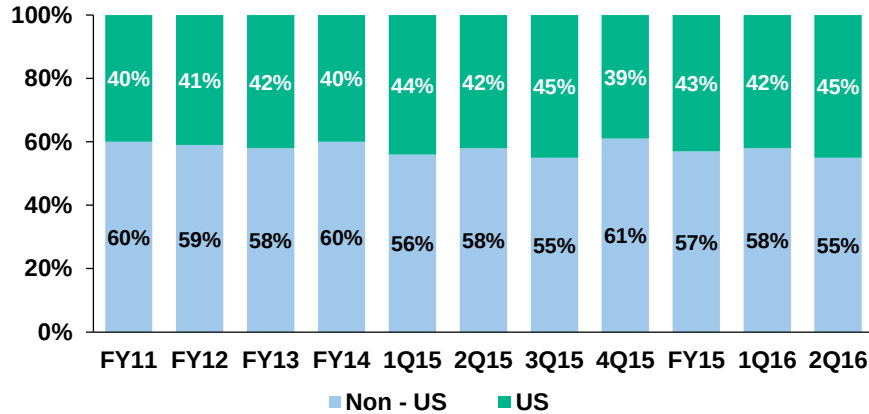


*Historical data has been adjusted to conform with current information and excludes intercompany revenue.

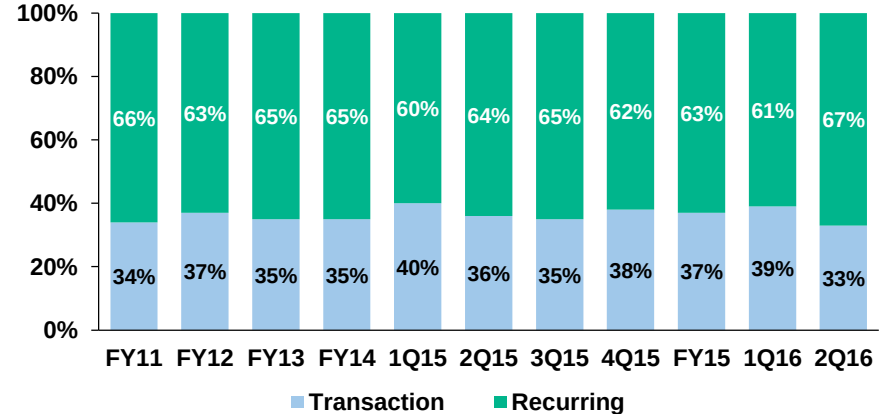
**Sources: Moody's Capital Markets Research Group, Dealogic. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Financial Institutions: Revenue Diversification

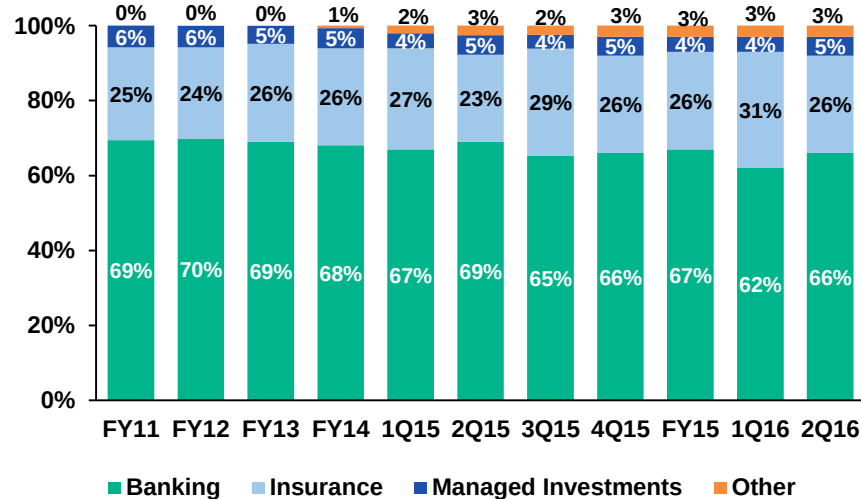
Revenue* Distribution: Geography



Revenue* Distribution: Recurring vs. Transaction

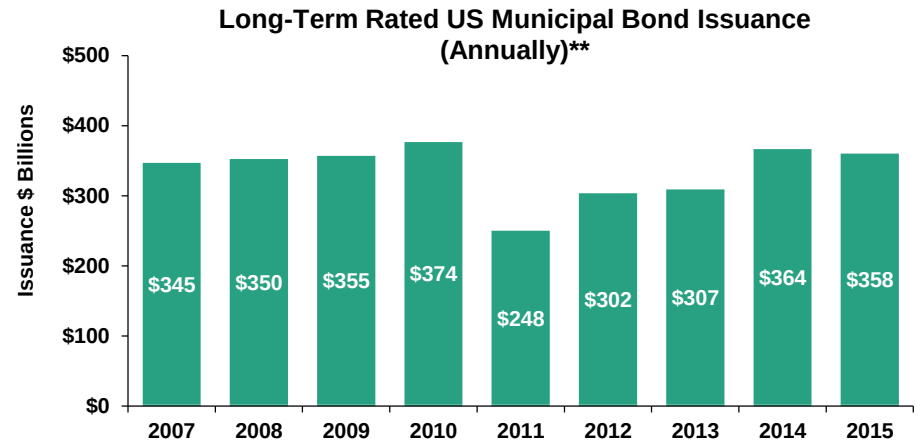
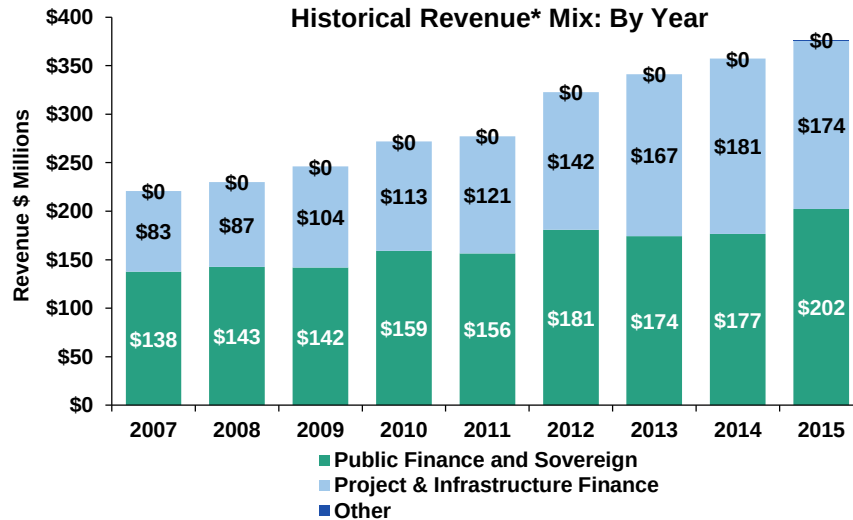
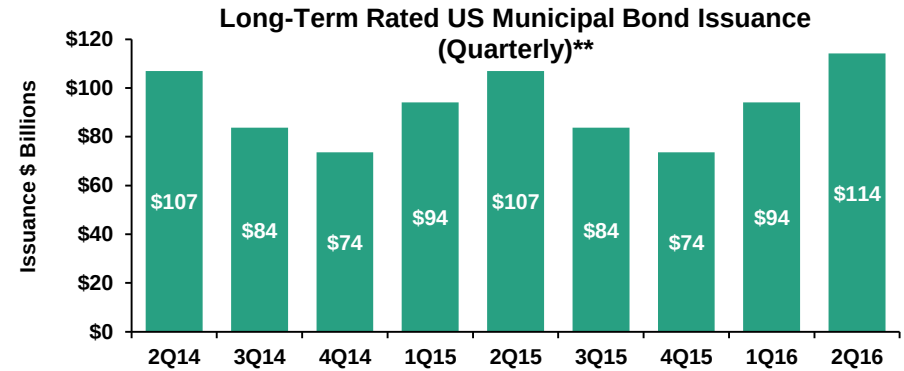
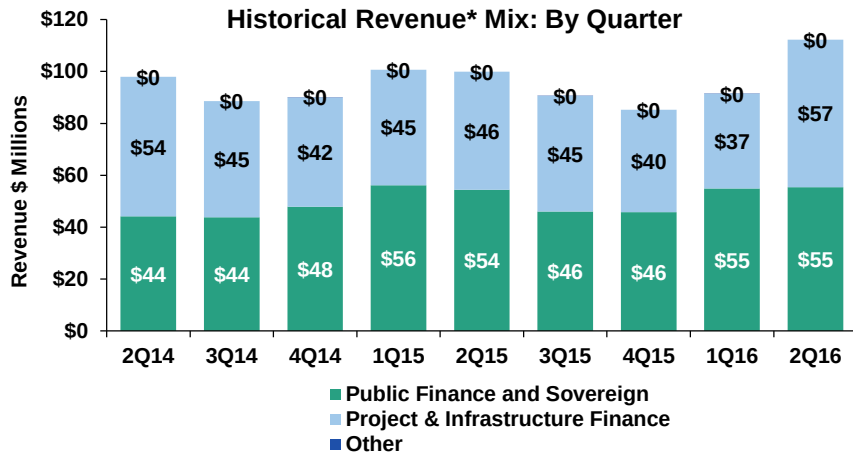


Revenue* Distribution: Product



*Historical data has been adjusted to conform with current information and excludes intercompany revenue.
Percentages have been rounded and may not total to 100%.

Public, Project and Infrastructure: Revenue and Issuance

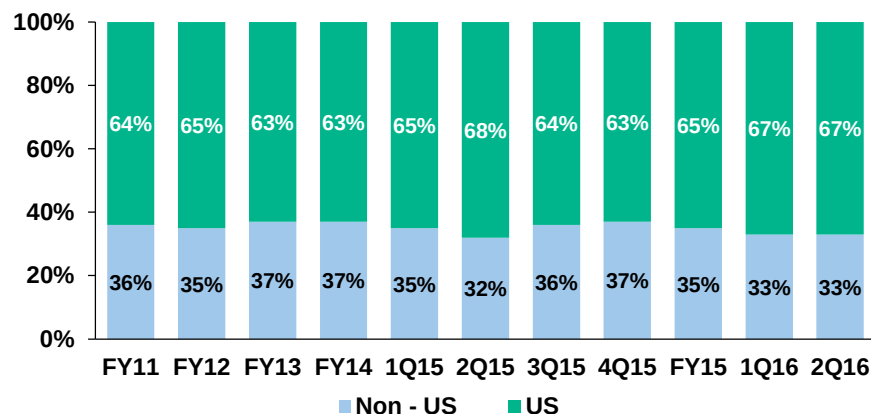


*Historical data has been adjusted to conform with current information and excludes intercompany revenue.

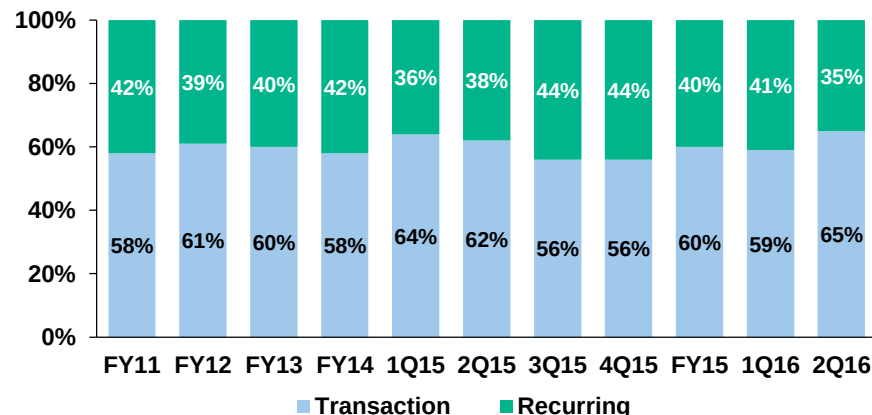
**Sources: Thomson SDC, Moody's Corporation. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Public, Project and Infrastructure: Revenue Diversification

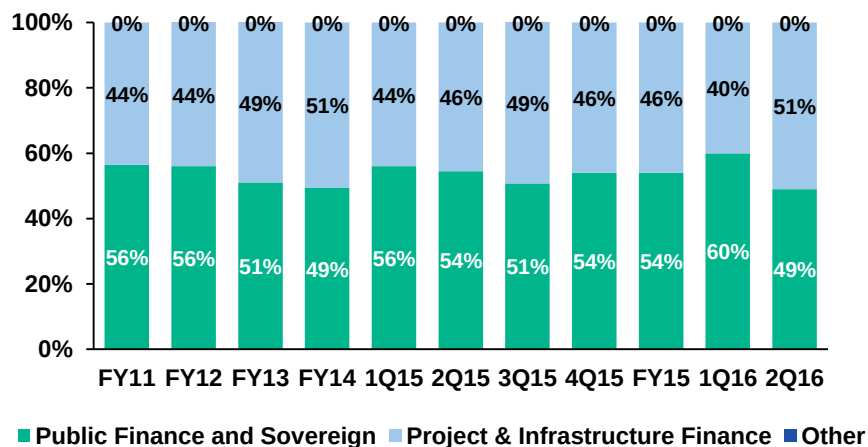
Revenue* Distribution: Geography



Revenue* Distribution: Recurring vs. Transaction

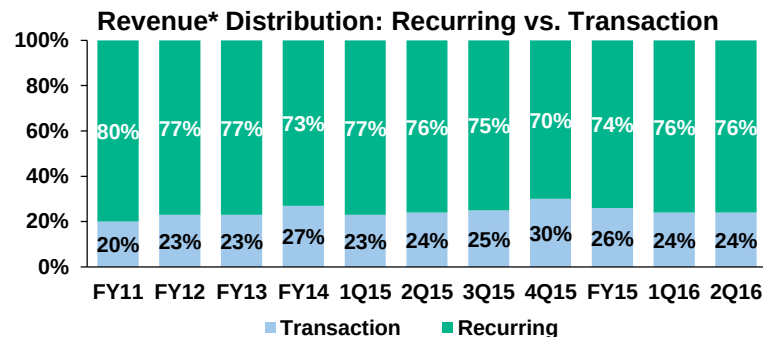
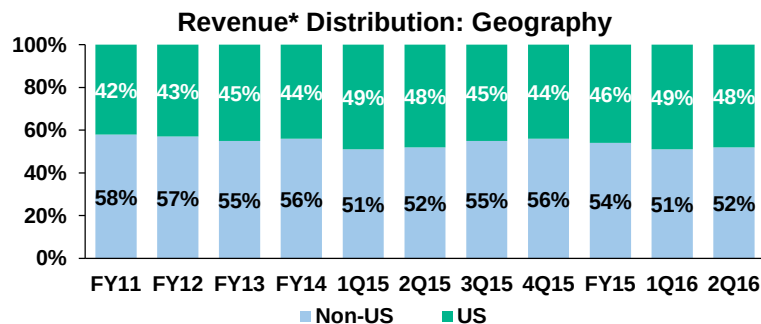
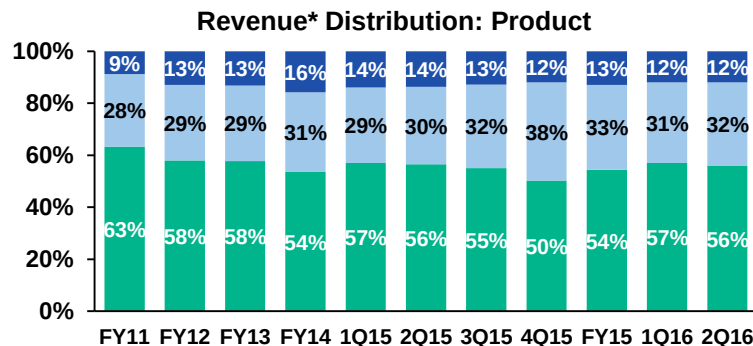
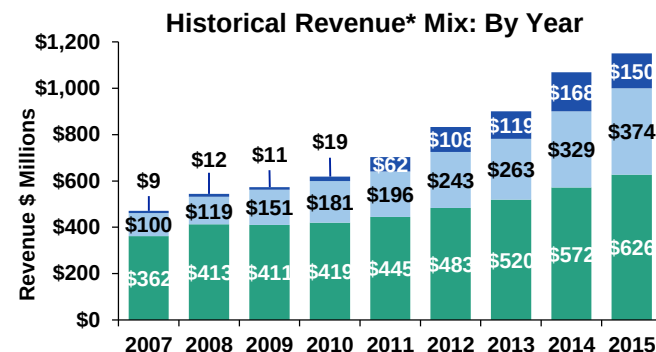
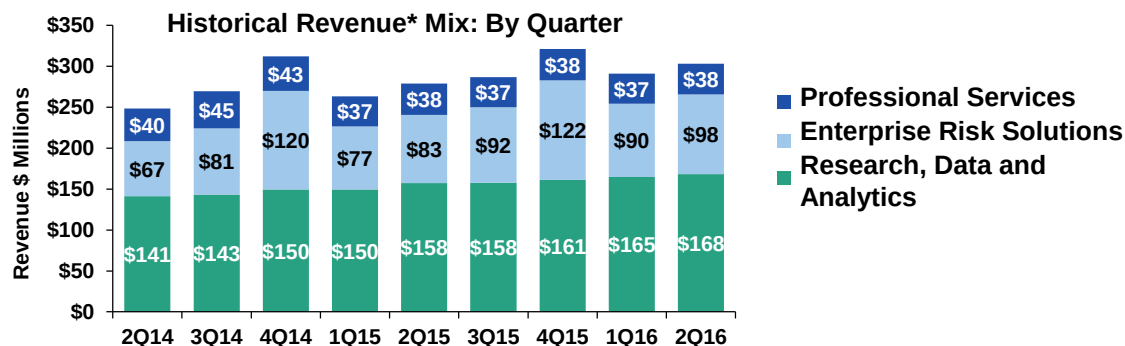


Revenue* Distribution: Product



*Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

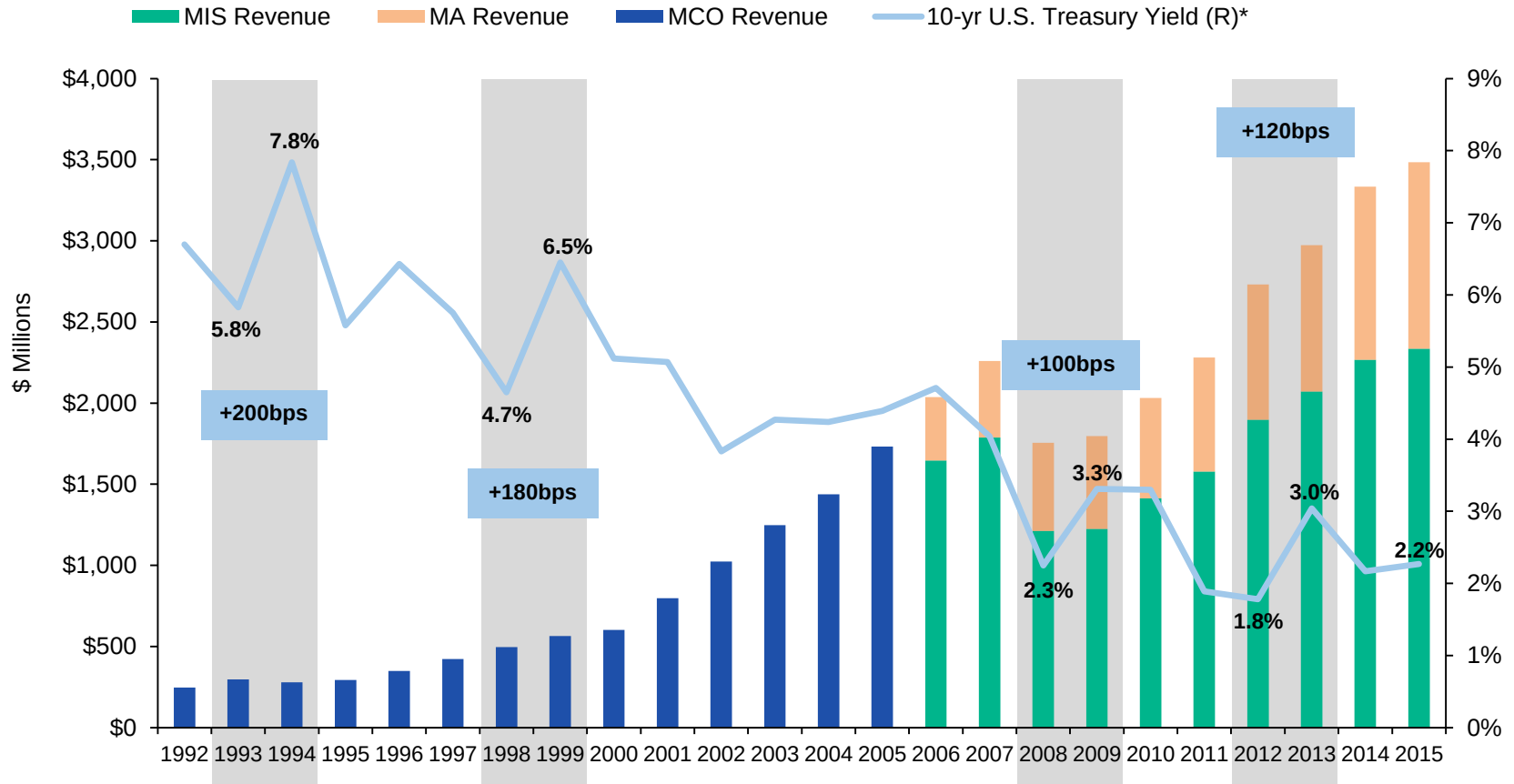
Moody's Analytics: Financial Overview



*Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

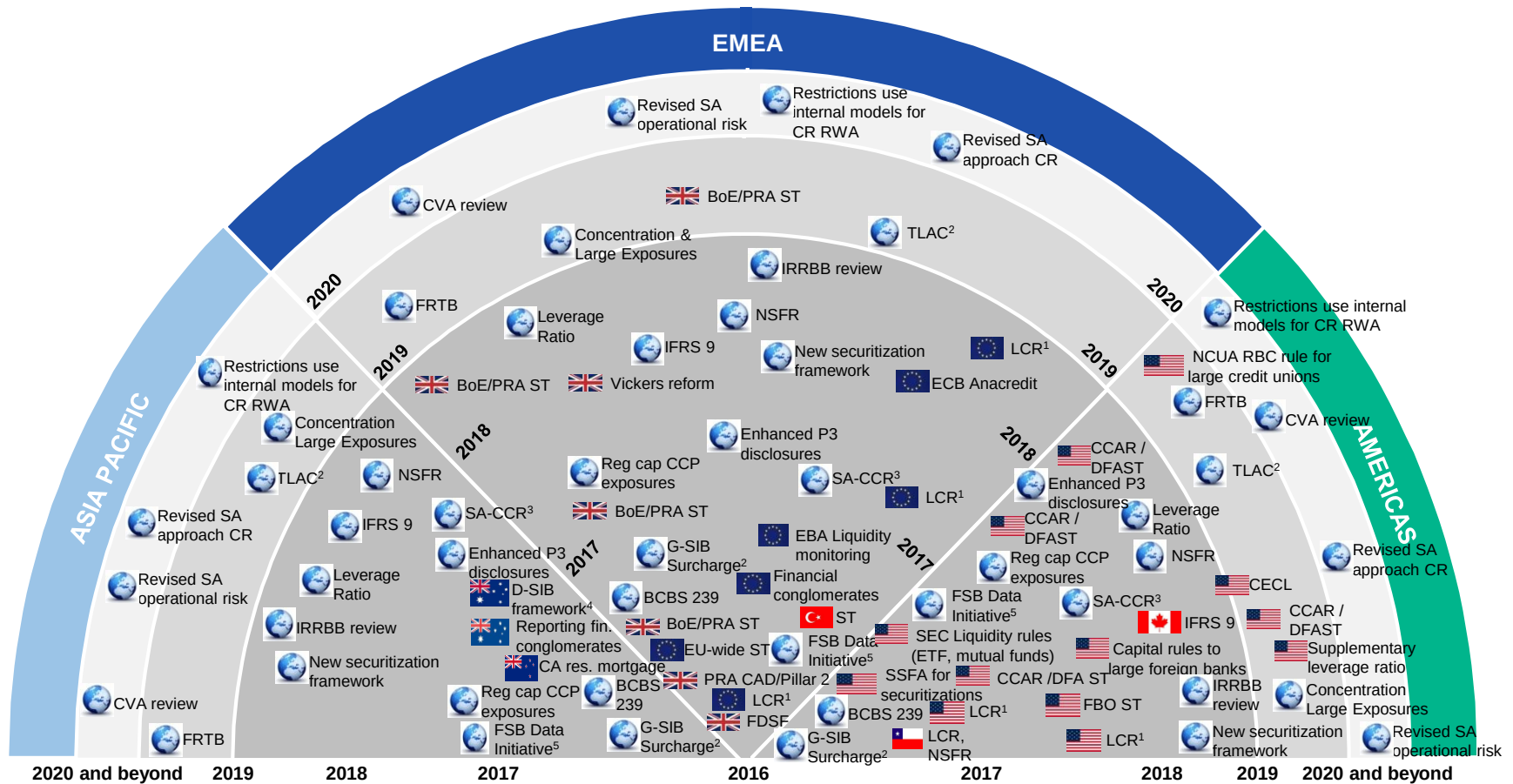
Historically, Rising Rates have not had a Significant Impact on Moody's Revenue

MCO Revenue and Interest Rates



*10-yr Treasury Yields are represented by the rate at the end-of-period. Source: www.treasury.gov

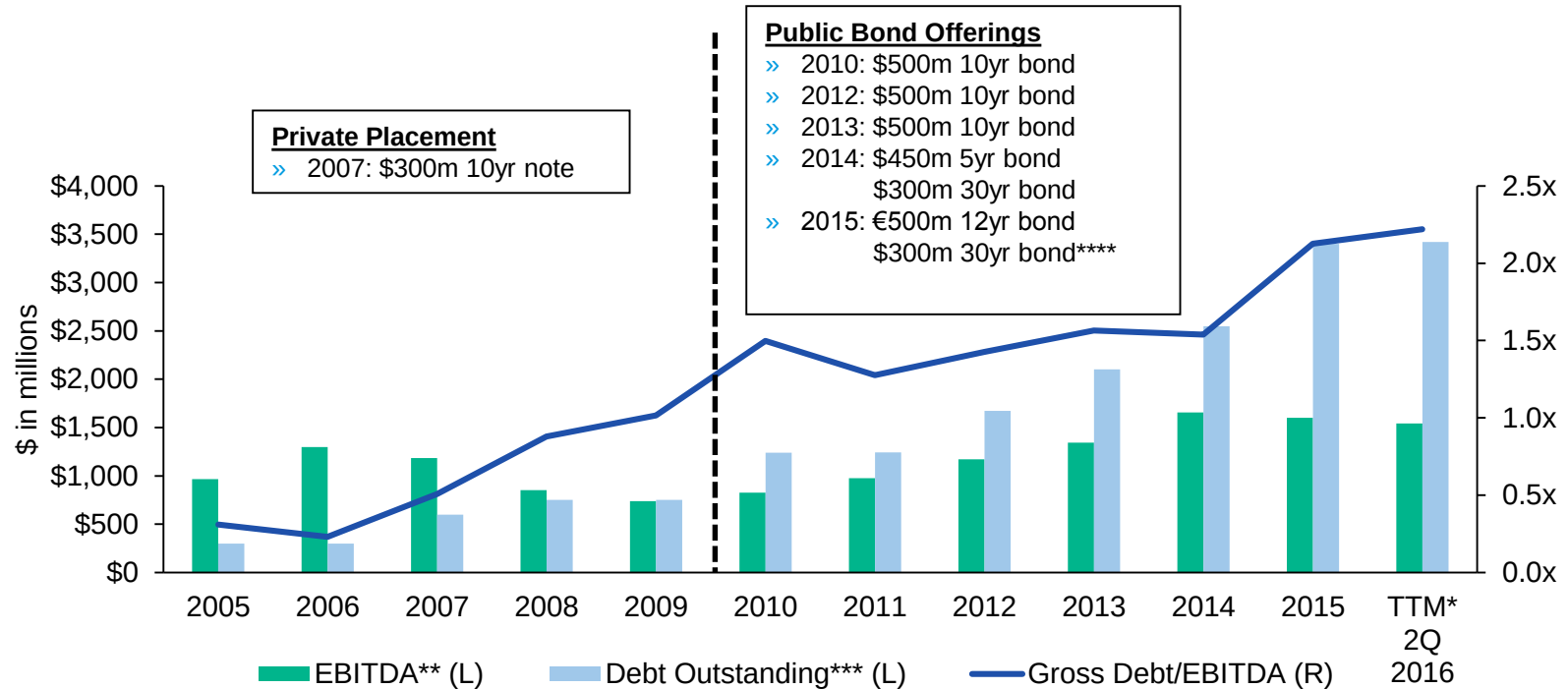
Moody's Analytics Global Banking Regulatory Radar



Source: Moody's Analytics market research as of May 2016.

1. The implementation of the LCR in the EU will be: 60% in 2015, 70% in 2016, 80% in 2017 and 100% in 2018. In the US, advanced-approach banks will have to meet 80% of the LCR by January 1, 2015 and 100% of the ratio by Jan. 2017.
2. The G-SIB surcharge will expand the conservation buffer, subject to a 3 year phase in period. G-SIBs will be required to hold a minimum Total Loss-Absorbing Capacity" (TLAC) of at least 16% from 2019 and 18% by 2022.
3. The new standardized approach (SA-CCR) replaces both the Current Exposure Method (CEM) and the Standardized Method (SM) in the capital adequacy framework.
4. Regulatory framework for domestic systemically important banks in Australia
5. Phase 2 was implemented in 2015, focused on liquidity and Phase 3 will be implemented in 2016 and will focus on additional balance sheet data, banks (G-SIBs).

Moody's is a Seasoned Capital Markets Issuer



- » Successfully issued across the maturity curve and in multiple currencies
- » Initial maturities ranging from 5-year to 30-year
- » Debt denominated in USD and EUR program
- » \$1 billion of additional debt capacity available under revolving credit facility

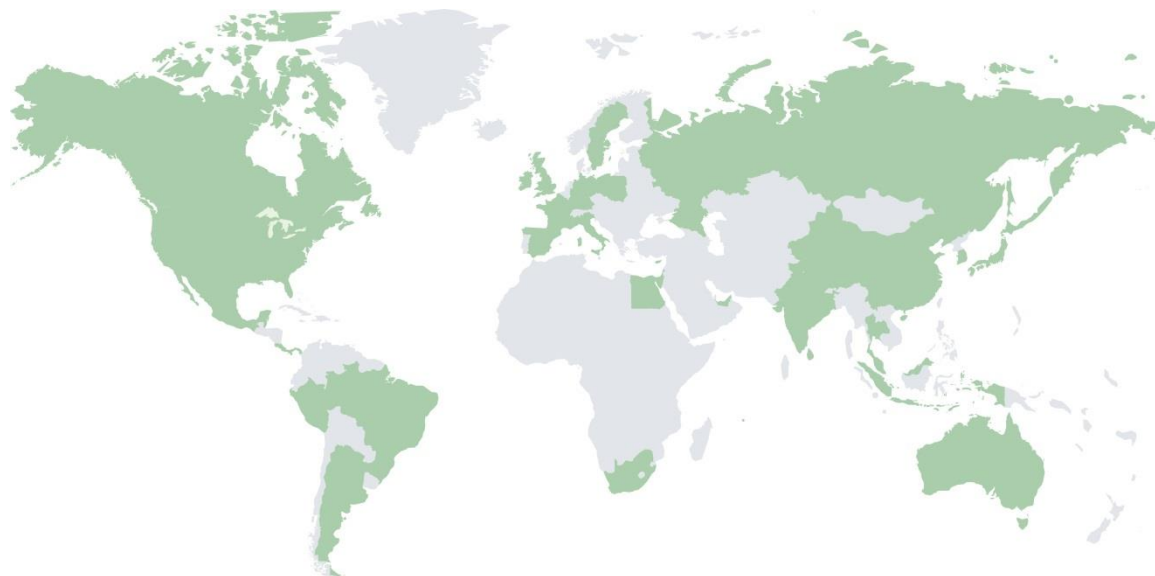
*Trailing twelve months.

**Amount is a non-GAAP measure. See Appendix for a reconciliation of this non-GAAP measure to its comparable US GAAP measure.

***Debt outstanding at end of period.

****On November 13, 2015, Moody's issued \$300 million of 5.25% senior unsecured notes due 2044 in a reopening of its existing series of such notes.

Moody's Global Presence



Americas

Argentina	Mexico
Brazil	Panama
Canada	Peru
Costa Rica	United States

Europe, Middle East & Africa

Cyprus	Poland
Czech Republic	Russia
Egypt	South Africa
France	Spain
Germany	Sweden
Ireland	Switzerland
Israel	UAE
Italy	United Kingdom
Mauritius	

Asia-Pacific

Australia	Malaysia
China	Nepal
Hong Kong	Singapore
India	Sri Lanka
Japan	Thailand
Korea	

Affiliates (Moody's Ownership)

China – CCXI (49%)
 Egypt – MERIS (40%)
 India – ICRA (50.06%)
 Israel – Midroog (51%)

2016	3,442 US employees	+	7,372 non-US employees	=	10,814 total employees*
2015	3,257 US employees	+	6,906 non-US employees	=	10,163 total employees**

*As of June 30, 2016.

**As of June 30, 2015.

Reconciliation of Non-GAAP Financial Measures to GAAP

Adjusted Operating Income and Adjusted Operating Margin Reconciliation

(in \$ millions)	2011	2012	2013	2014	2015
As Reported Operating Income	\$888.4	\$1,077.4	\$1,234.6	\$1,439.1	\$1,473.4
Operating Margin	39.0%	39.5%	41.5%	43.2%	42.3%
Add Adjustment:					
Depreciation & Amortization	79.2	93.5	93.4	95.6	113.5
Restructuring	-	-	-	-	-
Goodwill Impairment Charge	-	12.2	-	-	-
Adjusted Operating Income	<u>\$967.6</u>	<u>\$1,183.1</u>	<u>\$1,328.0</u>	<u>\$1,534.7</u>	<u>\$1,586.9</u>
Adjusted Operating Margin	42.4%	43.3%	44.7%	46.0%	45.5%

Moody's Corporation Operating Margin Guidance Reconciliation

	2016F*
Projected Operating Margin - GAAP	Approximately 41%
Projected impact from Depreciation & Amortization	Approximately 4%
Projected Adjusted Operating Margin	Approximately 45%

Moody's Corporation Free Cash Flow Guidance Reconciliation

(in \$ millions)	2016F*
Cash Flow from Operations	Approximately \$1.1 billion
Less Capital Expenditures	Approximately \$125 million
Free Cash Flow	Approximately \$1.0 billion

*Guidance as of July 22, 2016.

Reconciliation of Non-GAAP Financial Measures to GAAP (cont.)

Moody's Corporation EPS Reconciliation

	2010	2011	2012	2013	2014	2015	2016F*
Diluted EPS - GAAP	\$2.15	\$2.49	\$3.05	\$3.60	\$4.61	\$4.63	\$4.55 - \$4.65
Legacy Tax	(0.02)	(0.03)	(0.06)	(0.09)	(0.03)	(0.03)	-
Impact of litigation settlement	-	-	-	0.14	-	-	-
ICRA Gain	-	-	-	-	(0.37)	-	-
Diluted EPS – Non-GAAP	\$2.13	\$2.46	\$2.99	\$3.65	\$4.21	\$4.60	\$4.55 - \$4.65

*Guidance as of July 22, 2016. Expecting to be toward the lower end of the EPS range.

Note: Table may not sum to total due to rounding.

Reconciliation of Non-GAAP Financial Measures to GAAP (cont.)

Moody's Corporation EBITDA Reconciliation

(\$ Millions)	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	TTM 2Q 2016
Net Income attributable to Moody's	\$753.9	\$701.5	\$457.6	\$402.0	\$507.8	\$571.4	\$690.0	\$804.5	\$988.7	\$941.3	\$889.4
Provision for Income Taxes	\$506.6	\$415.0	\$268.2	\$239.1	\$201.0	\$261.8	\$324.3	\$353.4	\$455.0	\$430.0	\$411.5
Interest Expense, Net	(\$3.0)	\$24.3	\$52.2	\$33.4	\$52.5	\$62.1	\$63.8	\$91.8	\$116.8	\$115.1	\$122.3
Depreciation & Amortization	\$39.5	\$42.9	\$75.1	\$64.1	\$66.3	\$79.2	\$93.5	\$93.4	\$95.6	\$113.5	\$118.1
EBITDA	\$1,297.0	\$1,183.7	\$853.1	\$738.6	\$827.6	\$974.5	\$1,171.6	\$1,343.1	\$1,656.1	\$1,599.9	\$1,541.3

Note: Table may not sum to total due to rounding.

Website: <http://ir.moodys.com>

Email: ir@moodys.com



© 2016 Moody's Corporation, Moody's Investors Service, Inc., Moody's Analytics, Inc. and/or their licensors and affiliates (collectively, "MOODY'S"). All rights reserved.

CREDIT RATINGS ISSUED BY MOODY'S INVESTORS SERVICE, INC. AND ITS RATINGS AFFILIATES ("MIS") ARE MOODY'S CURRENT OPINIONS OF THE RELATIVE FUTURE CREDIT RISK OF ENTITIES, CREDIT COMMITMENTS, OR DEBT OR DEBT-LIKE SECURITIES, AND CREDIT RATINGS AND RESEARCH PUBLICATIONS PUBLISHED BY MOODY'S ("MOODY'S PUBLICATIONS") MAY INCLUDE MOODY'S CURRENT OPINIONS OF THE RELATIVE FUTURE CREDIT RISK OF ENTITIES, CREDIT COMMITMENTS, OR DEBT OR DEBT-LIKE SECURITIES. MOODY'S DEFINES CREDIT RISK AS THE RISK THAT AN ENTITY MAY NOT MEET ITS CONTRACTUAL, FINANCIAL OBLIGATIONS AS THEY COME DUE AND ANY ESTIMATED FINANCIAL LOSS IN THE EVENT OF DEFAULT. CREDIT RATINGS DO NOT ADDRESS ANY OTHER RISK, INCLUDING BUT NOT LIMITED TO: LIQUIDITY RISK, MARKET VALUE RISK, OR PRICE VOLATILITY. CREDIT RATINGS AND MOODY'S OPINIONS INCLUDED IN MOODY'S PUBLICATIONS ARE NOT STATEMENTS OF CURRENT OR HISTORICAL FACT. MOODY'S PUBLICATIONS MAY ALSO INCLUDE QUANTITATIVE MODEL-BASED ESTIMATES OF CREDIT RISK AND RELATED OPINIONS OR COMMENTARY PUBLISHED BY MOODY'S ANALYTICS, INC. CREDIT RATINGS AND MOODY'S PUBLICATIONS DO NOT CONSTITUTE OR PROVIDE INVESTMENT OR FINANCIAL ADVICE, AND CREDIT RATINGS AND MOODY'S PUBLICATIONS ARE NOT AND DO NOT PROVIDE RECOMMENDATIONS TO PURCHASE, SELL, OR HOLD PARTICULAR SECURITIES. NEITHER CREDIT RATINGS NOR MOODY'S PUBLICATIONS COMMENT ON THE SUITABILITY OF AN INVESTMENT FOR ANY PARTICULAR INVESTOR. MOODY'S ISSUES ITS CREDIT RATINGS AND PUBLISHES MOODY'S PUBLICATIONS WITH THE EXPECTATION AND UNDERSTANDING THAT EACH INVESTOR WILL, WITH DUE CARE, MAKE ITS OWN STUDY AND EVALUATION OF EACH SECURITY THAT IS UNDER CONSIDERATION FOR PURCHASE, HOLDING, OR SALE.

MOODY'S CREDIT RATINGS AND MOODY'S PUBLICATIONS ARE NOT INTENDED FOR USE BY RETAIL INVESTORS AND IT WOULD BE RECKLESS AND INAPPROPRIATE FOR RETAIL INVESTORS TO USE MOODY'S CREDIT RATINGS OR MOODY'S PUBLICATIONS WHEN MAKING AN INVESTMENT DECISION. IF IN DOUBT YOU SHOULD CONTACT YOUR FINANCIAL OR OTHER PROFESSIONAL ADVISER.

ALL INFORMATION CONTAINED HEREIN IS PROTECTED BY LAW, INCLUDING BUT NOT LIMITED TO, COPYRIGHT LAW, AND NONE OF SUCH INFORMATION MAY BE COPIED OR OTHERWISE REPRODUCED, REPACKAGED, FURTHER TRANSMITTED, TRANSFERRED, DISSEMINATED, REDISTRIBUTED OR RESOLD, OR STORED FOR SUBSEQUENT USE FOR ANY SUCH PURPOSE, IN WHOLE OR IN PART, IN ANY FORM OR MANNER OR BY ANY MEANS WHATSOEVER, BY ANY PERSON WITHOUT MOODY'S PRIOR WRITTEN CONSENT.

All information contained herein is obtained by MOODY'S from sources believed by it to be accurate and reliable. Because of the possibility of human or mechanical error as well as other factors, however, all information contained herein is provided "AS IS" without warranty of any kind. MOODY'S adopts all necessary measures so that the information it uses in assigning a credit rating is of sufficient quality and from sources MOODY'S considers to be reliable including, when appropriate, independent third-party sources. However, MOODY'S is not an auditor and cannot in every instance independently verify or validate information received in the rating process or in preparing the Moody's Publications.

To the extent permitted by law, MOODY'S and its directors, officers, employees, agents, representatives, licensors and suppliers disclaim liability to any person or entity for any indirect, special, consequential, or incidental losses or damages whatsoever arising from or in connection with the information contained herein or the use of or inability to use any such information, even if MOODY'S or any of its directors, officers, employees, agents, representatives, licensors or suppliers is advised in advance of the possibility of such losses or damages, including but not limited to: (a) any loss of present or prospective profits or (b) any loss or damage arising where the relevant financial instrument is not the subject of a particular credit rating assigned by MOODY'S.

To the extent permitted by law, MOODY'S and its directors, officers, employees, agents, representatives, licensors and suppliers disclaim liability for any direct or compensatory losses or damages caused to any person or entity, including but not limited to by any negligence (but excluding

fraud, willful misconduct or any other type of liability that, for the avoidance of doubt, by law cannot be excluded) on the part of, or any contingency within or beyond the control of, MOODY'S or any of its directors, officers, employees, agents, representatives, licensors or suppliers, arising from or in connection with the information contained herein or the use of or inability to use any such information.

NO WARRANTY, EXPRESS OR IMPLIED, AS TO THE ACCURACY, TIMELINESS, COMPLETENESS, MERCHANTABILITY OR FITNESS FOR ANY PARTICULAR PURPOSE OF ANY SUCH RATING OR OTHER OPINION OR INFORMATION IS GIVEN OR MADE BY MOODY'S IN ANY FORM OR MANNER WHATSOEVER.

Moody's Investors Service, Inc., a wholly-owned credit rating agency subsidiary of Moody's Corporation ("MCO"), hereby discloses that most issuers of debt securities (including corporate and municipal bonds, debentures, notes and commercial paper) and preferred stock rated by Moody's Investors Service, Inc. have, prior to assignment of any rating, agreed to pay to Moody's Investors Service, Inc. for appraisal and rating services rendered by it fees ranging from \$1,500 to approximately \$2,500,000. MCO and MIS also maintain policies and procedures to address the independence of MIS's ratings and rating processes. Information regarding certain affiliations that may exist between directors of MCO and rated entities, and between entities who hold ratings from MIS and have also publicly reported to the SEC an ownership interest in MCO of more than 5%, is posted annually at www.moody.com under the heading "Investor Relations — Corporate Governance — Director and Shareholder Affiliation Policy."

Additional terms for Australia only: Any publication into Australia of this document is pursuant to the Australian Financial Services License of MOODY'S affiliate, Moody's Investors Service Pty Limited ABN 61 003 399 657/AFSL 336969 and/or Moody's Analytics Australia Pty Ltd ABN 94 105 136 972 AFSL 383569 (as applicable). This document is intended to be provided only to "wholesale clients" within the meaning of section 761G of the Corporations Act 2001. By continuing to access this document from within Australia, you represent to MOODY'S that you are, or are accessing the document as a representative of, a "wholesale client" and that neither you nor the entity you represent will directly or indirectly disseminate this document or its contents to "retail clients" within the meaning of section 761G of the Corporations Act 2001.

MOODY'S credit rating is an opinion as to the creditworthiness of a debt obligation of the issuer, not on the equity securities of the issuer or any form of security that is available to retail investors. It would be reckless and inappropriate for retail investors to use MOODY'S credit ratings or publications when making an investment decision. If in doubt you should contact your financial or other professional adviser.

Additional terms for Japan only: Moody's Japan K.K. ("MJKK") is a wholly-owned credit rating agency subsidiary of Moody's Group Japan G.K., which is wholly-owned by Moody's Overseas Holdings Inc., a wholly-owned subsidiary of MCO. Moody's SF Japan K.K. ("MSFJ") is a wholly-owned credit rating agency subsidiary of MJKK. MSFJ is not a Nationally Recognized Statistical Rating Organization ("NRSRO"). Therefore, credit ratings assigned by MSFJ are Non-NRSRO Credit Ratings. Non-NRSRO Credit Ratings are assigned by an entity that is not a NRSRO and, consequently, the rated obligation will not qualify for certain types of treatment under US laws. MJKK and MSFJ are credit rating agencies registered with the Japan Financial Services Agency and their registration numbers are FSA Commissioner (Ratings) No. 2 and 3 respectively.

MJKK or MSFJ (as applicable) hereby disclose that most issuers of debt securities (including corporate and municipal bonds, debentures, notes and commercial paper) and preferred stock rated by MJKK or MSFJ (as applicable) have, prior to assignment of any rating, agreed to pay to MJKK or MSFJ (as applicable) for appraisal and rating services rendered by it fees ranging from JPY200,000 to approximately JPY350,000,000.

MJKK and MSFJ also maintain policies and procedures to address Japanese regulatory requirements.